

Investor's Guide

Goals-based Investing and Philanthropy

Issue 6



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Investor's Guide to Goals-based Investing and Philanthropy

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About this guide

A goals-based approach to investing and philanthropy is built on the recognition that capital is a means, not an end. In traditional investing, this challenges the assumption that maximizing wealth is the ultimate objective. Instead, it recognizes that capital is merely an instrument; the true goal is the intrinsic value—such as financial security or a life of well-being—that this capital can help achieve. This distinction is increasingly central well beyond private wealth, including in institutional investing and public policy.

It is an equally crucial distinction for impact investing and philanthropy. Without clear goals, investors risk merely funding activities rather than real progress. By bringing the rigorous focus of a goals-based approach to their impact allocations, investors can move from simply “doing good” to generating specific, meaningful improvements in the world.

This guide makes the case that before diving into detailed strategies, structures, or investments, it is crucial to clarify what you are trying to accomplish. While this may seem obvious, our experience working with hundreds of investors shows that unclear or conflicting goals often lead to disappointing results and wasted time.

Drawing on insights from academic research and the real-world experiences of investors and their families, this guide outlines the work necessary to move beyond inherited assumptions and focus on what actually matters to you.

Clarifying your goals sets the stage for deploying your resources to more effectively achieve all your goals—whether financial, personal, or about generating a positive impact on the world.

PARTNERS

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Spun out of Harvard University in 2017, CSP is a vibrant network of wealth holders, researchers, educators, and entrepreneurs committed to making private wealth a force for good. Our research and training empower private investors, philanthropists, inheritors, and their advisors to achieve greater and more systemic environmental and social impact using all their forms of capital. We operate globally with teams based in the U.S., Switzerland, and Singapore. We work closely with the MIT Sloan School of Management Sustainability Initiative and the Stanford Center on Philanthropy and Civil Society.

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CCSP-HSG is a competence center dedicated to research and education at the intersection of sustainable finance and private wealth - and the academic home of CSP.

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Stanford PACS is a global, interdisciplinary research center at Stanford University and the publisher of Stanford Social Innovation Review, connecting scholars and practitioners to strengthen philanthropy, civil society, and social innovation.

IMPACT FRONTIERS

Impact Frontiers helps investors integrate impact alongside financial risk and return in real investment decisions. As a successor organization to the Impact Management Project, it convenes peer-learning communities for investors and facilitates consensus-building on areas of impact management not addressed by existing standards, frameworks, or guidance.

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Participants at the "Impact Investing for the Next Generation" training in Boston, MA.



Foreword



Dr. Falko Paetzold
*Founder, CSP;
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This guide emerged from a simple observation: many investors struggle to make progress on their social and environmental impact goals (or their financial goals) simply because they haven't clearly defined them.



Dr. Vera Michalchik
*Senior Research Scholar
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While many investors and philanthropists are driven to make a difference, we have observed that they often feel overwhelmed and unsure where to start. What they need isn't another set of rigid prescriptions. This guide is built on a simple premise: investors need to give themselves permission to clarify their goals. Doing so is valuable whether you are just starting out or feeling stuck in a strategic rut. Indeed, if your current strategy feels stale or reactive, revisiting your goals can quickly unlock new energy.



Dr. Jason Jay
*Senior Lecturer and Director
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Mike McCreless
*Founder and Executive Director
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The insights shared here don't tell you what goals to pursue or how much to prioritize each one. While your specific priorities may be unique, the fundamental challenges of balancing multiple objectives and making coherent decisions in a complex, dynamic world are universal. We offer practical steps you can apply again and again to sharpen your thinking throughout your journey, helping you to better shape your investment and philanthropic strategies.



Dr. Jonathan Harris
*Senior Fellow
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Traditional approaches often begin by narrowing interests to a few "focus areas." Yet investors inherently juggle multiple financial and impact goals. When these are forced together, depth is often lost. For example, an investor might attempt to satisfy a deep desire for impact with a generic ESG screen. To avoid this, we advocate for ***focused structures***—dedicated allocations of resources—that enable you to pursue multiple goals in a coherent manner.

This guide focuses on essential groundwork: clarifying your various goals, understanding how different opportunities serve those goals, and organizing your resources to best reach them while managing the inevitable complexities. All investors approach these steps with different values and perspectives; however, working through them allows you to move beyond inherited assumptions and deploy your capital more purposefully.

The world needs diverse approaches to solving its problems. The most exciting possibility isn't that we all adopt the same approach to impact, but that we each find our most effective way to contribute. We hope this guide helps you navigate that path with confidence.

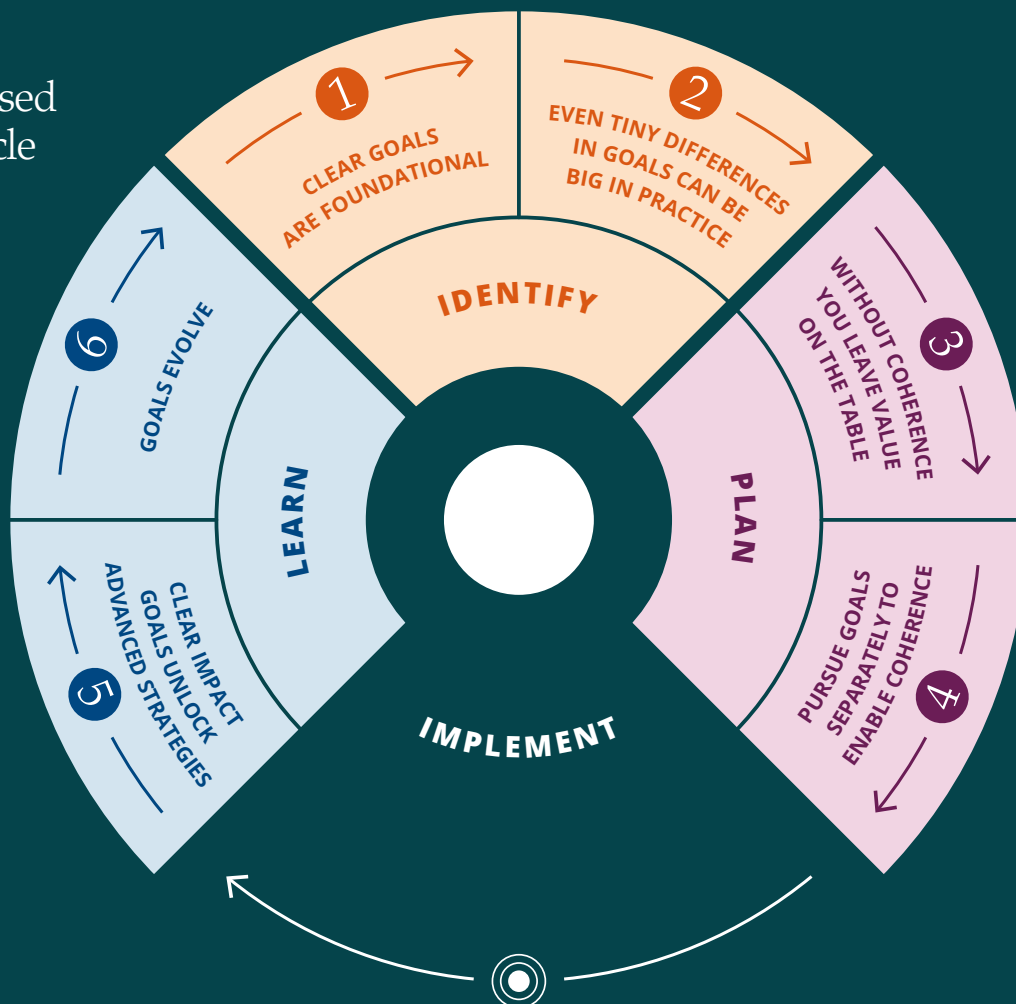
Executive summary

Many investors, even highly successful ones, struggle to make progress on their financial and impact goals because they lack a clear sense of what they are really trying to accomplish. This is increasingly recognized well beyond private wealth, including in institutional investing and public policy.

Goals-based investing and philanthropy means investing more time upfront to clarify your real goals, and then using them to guide decisions over time. This guide explains why that discipline matters, and offers practical insights for both advanced investors refining their strategy and beginners charting their course. This guide is organized around the four-part cycle shown below.

FIGURE 1

Goals-based action cycle





① —→ ② —→

Identify your goals

Start with foundational work. Every investor has a multitude of goals, constraints, and opportunities (Insight 1). It is important to clarify your goals to bring structure to this complexity: understand that each goal acts as a unique lens through which you evaluate opportunities (Insight 2). A deeper understanding of your own goals also enables you to better grasp other stakeholders' perspectives and coordinate with others to achieve win-win results.



③ —→ ④ —→

Plan your approach

The clarity that comes from identifying your goals helps you ensure coherence in your decision-making, so you don't leave value on the table (Insight 3). You can support this coherence by creating focused structures: dedicated allocations of capital and resources toward specific priorities (Insight 4). Ultimately, a coherent approach gives you the best possible chance of achieving your goals.



◎ —→

Implement your plan

This guide serves as a reminder of the importance of clear goals for implementation, but it is not about the dynamic work of implementation itself. There is a wide range of excellent materials on implementation, and some of these are highlighted throughout the guide.



⑤ —→ ⑥ —→

Learn and evolve

With a clear and coherent foundation in place, your focus can shift to improvement and growth. This deep, ongoing learning is what ultimately unlocks advanced strategies (Insight 5), allowing you to create a deeper impact while ensuring your goals evolve as you engage with the world (Insight 6).

Insight Stories



Max's focus on a specific goal accelerates his impact

Max Zeller studied mechanical engineering and felt a general pull toward clean tech, but he soon realized that a vague interest wasn't enough to drive real change. He narrowed his focus relentlessly until he landed on a single, specific thesis: carbon removal. This clarity allowed him to bypass generalist distractions and build a specialized venture firm, Carbon Removal Partners.

"It felt so logical to me that this is the direction we need to go. Focusing deep on one topic gives you the credibility to actually get things done."

Max's journey illustrates that focusing on a specific goal doesn't limit your impact; it deepens your expertise, making you a magnet for the specific opportunities that matter most.

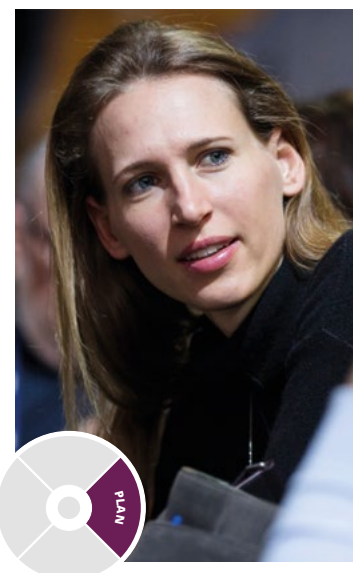


Paolo's coherence checks ensure every investment earns its place

Paolo Fresia applies a rigorous "opportunity cost" logic to his wealth to ensure his investing and philanthropy are coherent. For example, if an investment offers higher risk or lower returns, he asks: "Is the impact I'm 'buying' with that actually worth more than the climate mitigation I could buy with a simple grant?"

"Itry to compare the impact of my investments directly against the impact of the best charities. If the investment can't beat the charity on impact efficiency, I don't make excuses for it."

Paolo's approach creates a competition for capital across his total portfolio, ensuring every tool makes a net positive contribution to his goals.



Julie's "buckets" enable her to pursue different goals effectively

Julie Engelhorn manages a diverse set of goals by maintaining distinct, focused structures for each, including one for catalytic investing, one for *systemic investing*, an allocation to high-leverage philanthropy, and a personal bucket for her family and regenerative farming projects.

"Irealized I didn't need one strategy to rule them all. I needed different vehicles for different kinds of impact, and the freedom to manage them differently."

Julie's approach illustrates that the key to managing complexity is often separation: giving yourself permission to pursue different goals in different mental or formal buckets.



Hanson's goal to generate enduring impact led him to systemic investing

Hanson Gong began his journey inspired simply by Tikkun Olam (the concept of repairing the world), but as he engaged deeper, he realized that funding one company at a time often failed to address root causes. He realized lasting impact would require shifting the system itself. This goal led him to *systemic investing*.

“To repair the world, you have to understand how it is broken. Systemic investing allows us to target the root causes rather than just treating the symptoms.”

Hanson's evolution highlights that advanced strategies are not just intellectual exercises; they are the necessary tools for investors whose goals have moved beyond symptoms to roots.



The Finks' shift to food waste addressed a neglected crisis

Betsy and Jesse Fink were early pioneers in climate change investing through MissionPoint Capital Partners, but as capital flooded into renewable energy, they realized their contribution was shrinking. Around the same time, Betsy's experience with farming led them to food waste, a then-neglected driver of emissions that was receiving little attention. They co-founded ReFED to build the field from scratch.

“We need to go where the capital isn't. Food waste was where climate change was 15 years before, a massive opportunity that everyone was overlooking.”

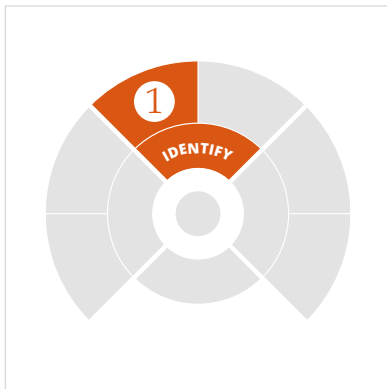
The Finks' story is a reminder that a goal is not a lifetime sentence. When the world changes or you succeed, the best move is often to declare victory and pivot to the next challenge.

“If one does not know to
which port one is sailing,
no wind is favorable.”

— Seneca



Clear goals are foundational



As Paul Brest and Hal Harvey argue in their book *Money Well Spent*, a smart strategy built on **clear goals** is central to generating significant positive impact.¹

This isn't just motivational fluff; it's backed by decades of research showing that specific, challenging goals significantly boost performance compared to vague intentions like "doing your best."²

This guide takes its title from "goals-based investing."³ This means managing wealth not simply to maximize returns (e.g., a certain amount in your account), but to achieve real-world outcomes that contribute to an investor's well-being (e.g., a certain lifestyle, after accounting for inflation). For example, Nobel laureate Robert Merton at MIT has made this point for retirement planning, and Stanford's John Cochrane makes a similar point for long-horizon investors by focusing on what a portfolio can actually pay for over time.

The idea of a goals-based approach also applies to more philanthropic pursuits. It comes down to one question: "What are the ultimate outcomes I am trying to achieve with my capital?"

The power of specific goals

Here, we use "goals" as an umbrella term for everything from high-level missions to precise, tactical targets. At any level, a goal is only useful if it is specific enough to guide your choices when trade-offs arise. Sport is the clearest example: structured goal setting improves performance.⁴

Clarity helps under pressure

For investors, the challenge isn't just the multitude of potential goals to choose from; it's also the constant barrage of external pressures. Advisors may push for a simplistic focus on a single metric, while peers advocate for their own favored causes. Both can feel incomplete because they fail to account for an investor's core identity, moral commitments, and relationships.⁵ In the face of these pressures, clear goals make it easier to evaluate advice and peer input.

Illustrated story: Alice

Figure 2 provides a framework to help clarify and understand any goal. While it draws inspiration from frameworks like Impact Frontiers’ five dimensions of impact, originally developed by the Impact Management Project (IMP), it is uniquely focused on goals.

To illustrate, imagine **Alice**, an investor who has just inherited a significant fortune. **Table 1** on the next page shows three of her core goals mapped to the dimensions.

Three of these dimensions deserve special attention. The **WHY** dimension clarifies a goal’s purpose: is it an end in itself (*intrinsic*) or a means to a larger end (*instrumental*)?

While your intrinsic goals may be ambitious and long-term, success often requires breaking them down.

Effective investors set instrumental goals: smaller, manageable targets that serve as stepping stones toward a larger objective. Yet, these instrumental goals are not ends in themselves, and this distinction is important to keep in mind.

The **RISK** dimension captures the level of certainty required: is the goal *essential* (must be achieved) or *aspirational* (ambitious, but failure can be tolerated)?

Finally, the **HOW MUCH** dimension defines the nature of the goal. Is it *satisficing* (aiming for “enough”) or *maximizing* (aiming for the best possible)?

Ultimately, treat your goals as hypotheses along these dimensions—provisional yet action-guiding views on what is valuable to you. They should evolve as you learn and grow.



TABLE 1

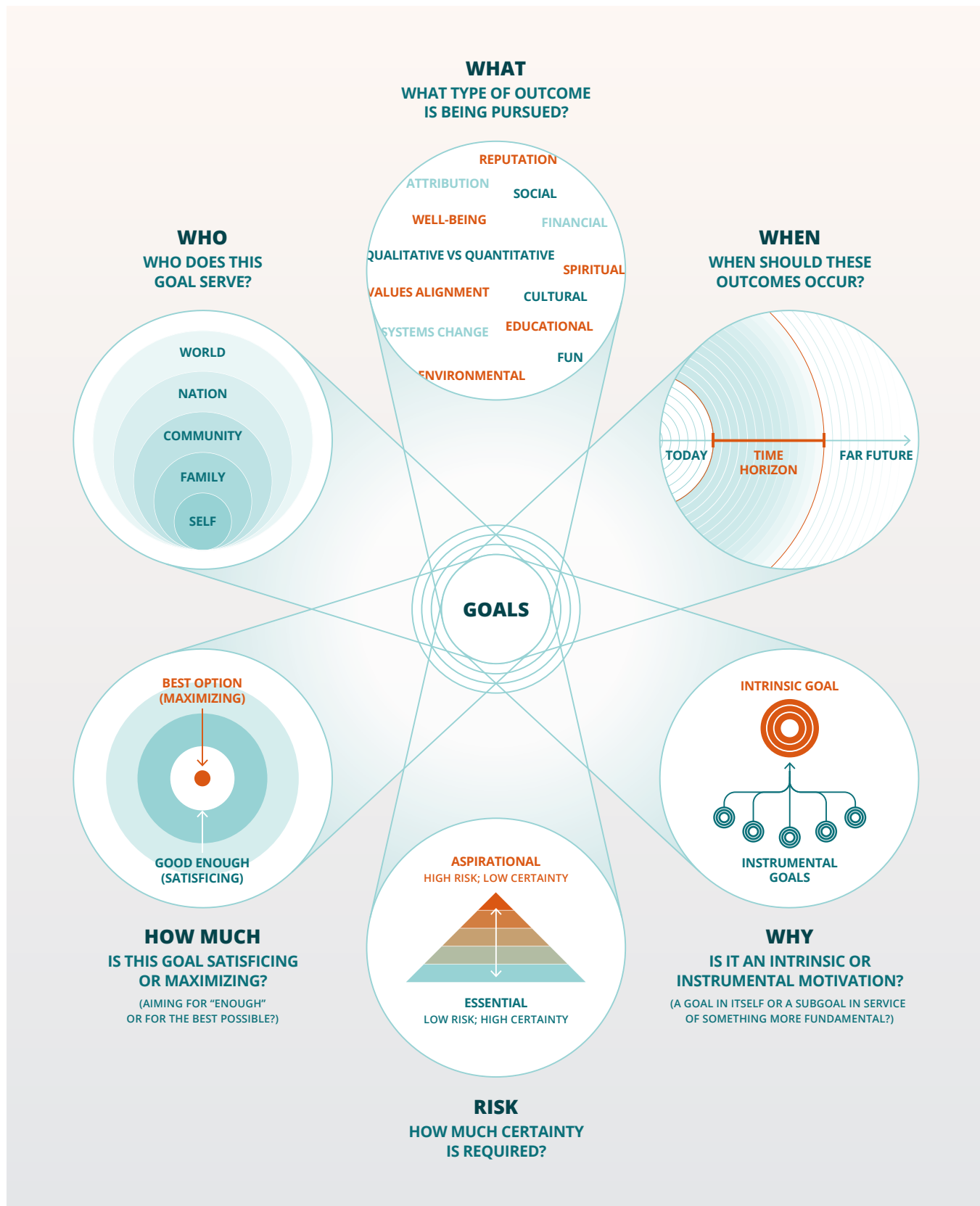
Dimensions of Alice’s goals

GOAL	WHO	WHAT	WHEN	WHY	RISK	HOW MUCH
FINANCIAL SECURITY	Self and Family	Income to support lifestyle and inheritance for children	Rest of life	Instrumental	Essential	Satisficing
CREATIVE EXPRESSION	Self	Personal fulfillment	Rest of life	Intrinsic	Essential	Satisficing
GLOBAL HEALTH	People worldwide	Health outcomes	Ongoing	Intrinsic	Aspirational	Maximizing

FIGURE 2

Dimensions of goals

Figure 2 shows the key dimensions that vary between goals. These dimensions matter because they determine the trade-offs you will accept, and therefore which actions you will take.





Clarifying your essential financial goals: how much is enough?

For many investors, the default financial goal is simply “more.” This vague aim, often reinforced by advisors, can create issues both personally and systemically. On a personal level, it can create persistent anxiety about never having enough. At a systemic level, a relentless focus on accumulation creates its own set of complex challenges.

The Enough Project, founded by Brent Kessel and Robert Boogaard, offers a powerful alternative by asking a different question: **“How much is enough?”** Their process encourages a thoughtful exploration of wealth, impact, and well-being, centered on three core elements:



Having enough

This involves a structured process of working out how much you actually need for your desired lifestyle and loved ones. By replacing the drive for endless accumulation with a concrete number, you can gain financial clarity and a genuine sense of security.



Doing enough

Once you define “enough,” you can unlock your “surplus.” This allows resources that aren’t required for that goal to be deployed in line with the world’s needs, enabling a meaningful contribution to tackling pressing problems.



Being enough

Wisdom traditions teach us that relying on external validation can create a cycle of endless wanting.⁶ By refusing to define yourself by what you have or what you do, you can better focus on balancing your own needs with serving the world.

As illustrated in the story of “Alice” in Insight 4, this structured exploration is not about limiting ambition. Defining “enough” creates clarity and psychological freedom, empowering you to pursue more ambitious impact goals with conviction.



The power of moral ambition

Research shows that setting specific, *challenging* goals drives superior performance. This insight becomes particularly relevant when considering the scale of ambition in the world of impact.

Historian Rutger Bregman champions the idea of “moral ambition.” He contrasts the common drive for personal success or wealth with an ambition that seeks to apply skills and resources to tackling the world’s biggest problems. It’s about treating “doing good” with the same intensity and strategic rigor as personal achievement.

This concept ties directly into the distinction between essential and aspirational goals. While you might set clear and challenging essential goals for your financial security, the idea of moral ambition encourages you to set equally robust aspirational goals for your impact. It pushes you to think bigger about your potential contributions.

What is an “impact goal”?

This guide’s framework can help you with any type of goal, but it’s particularly useful for investors looking to create positive change. So, what defines an “impact goal”?

For our purposes, an impact goal is simply any goal focused primarily on “others”—such as a community, society, or the planet. It can be an intrinsic goal (where the outcome for others is the end in itself) or an instrumental goal that supports such intrinsic aims.

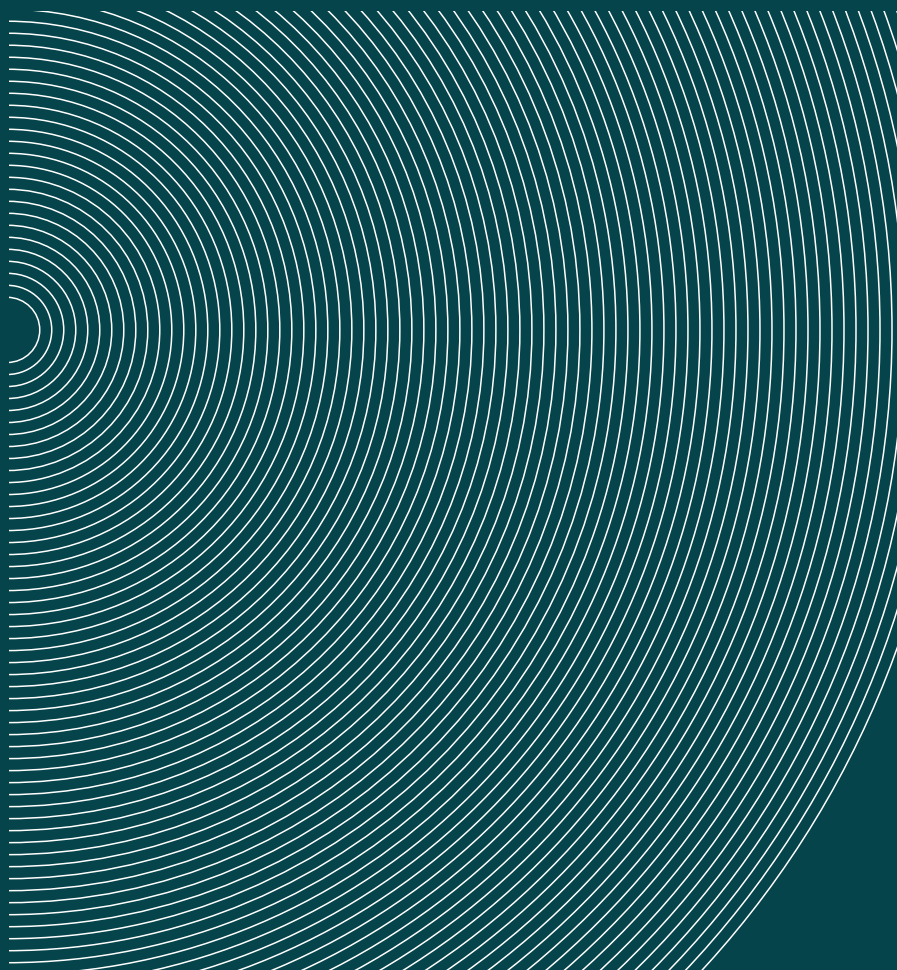
This distinguishes impact goals from values-alignment goals, which often overlap but not always. Investors who prioritize impact goals tend to focus on several key principles:

Contribution: When the goal is to benefit others, the key question becomes: “Did my actions create a real positive change that wouldn’t have happened otherwise?” The attribution for that change becomes secondary to whether the change actually occurred.

Systems Awareness: Helping others solve problems often requires understanding the complex system in which they exist, including potential unintended consequences. This reduces the risk of unintended harm and helps identify the highest-leverage ways to help.

Stakeholder Perspective: Finally, a focus on outcomes for others requires you to understand what those “others” actually value. This means engaging with stakeholders to grasp their values and appetite for risk, ensuring your strategy aligns with their needs rather than just your assumptions.

As noted earlier, specific goals drive superior performance. However, applying this logic to impact is inherently challenging. Unlike a race time or a bank balance, impact is multi-dimensional and often difficult to assess. Managing impact well demands a high level of self-awareness and a willingness to iterate. See Insight 6 for a discussion of how goals evolve.



How to put this insight into action

Clarify your goals: Start by brainstorming the goals that matter most to you. Use the Goal Dimensions Diagram from Figure 2 to define each goal clearly. Identify the WHO, WHAT, WHEN, WHY, RISK, and HOW MUCH for every goal (using the Worksheet at the end of this guide).

Define your financial needs: Work with your financial advisor to conduct a comprehensive financial planning or goals-based planning exercise. Many investors, including the wealthiest, overlook this crucial step. This process will help you categorize your financial goals into essential and aspirational. This will then enable you to define your “surplus,” as detailed in the “Clarifying your essential financial goals” subsection.

Engage with a resource: Choose one of the publications from the list below to challenge your thinking and refine your goals further.

Related publications

Stanford PACS, *Guide to Effective Philanthropy*: Chapter 1, on finding your focus.

Impact Frontiers, *Online Curriculum*: “Impact at the Portfolio Level” module. Available at: impactfrontiers.org/online-curriculum

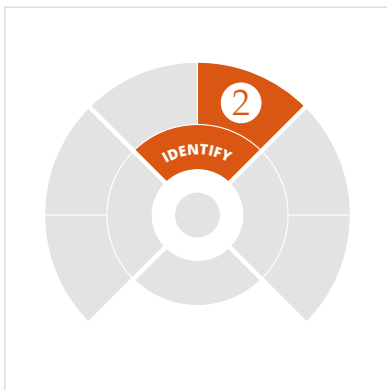
Enough Project, *Resources*. Available at: enough-project.org/resources

“We don’t see things as
they are, we see them
as we are.”

— Anaïs Nin



Even tiny differences in goals can be big in practice



Each of your goals acts like a unique **lens**, shaping how you perceive and evaluate opportunities. The same investment can look attractive through one lens and irrelevant through another.

This matters because your impact often scales with the size of your coalition.

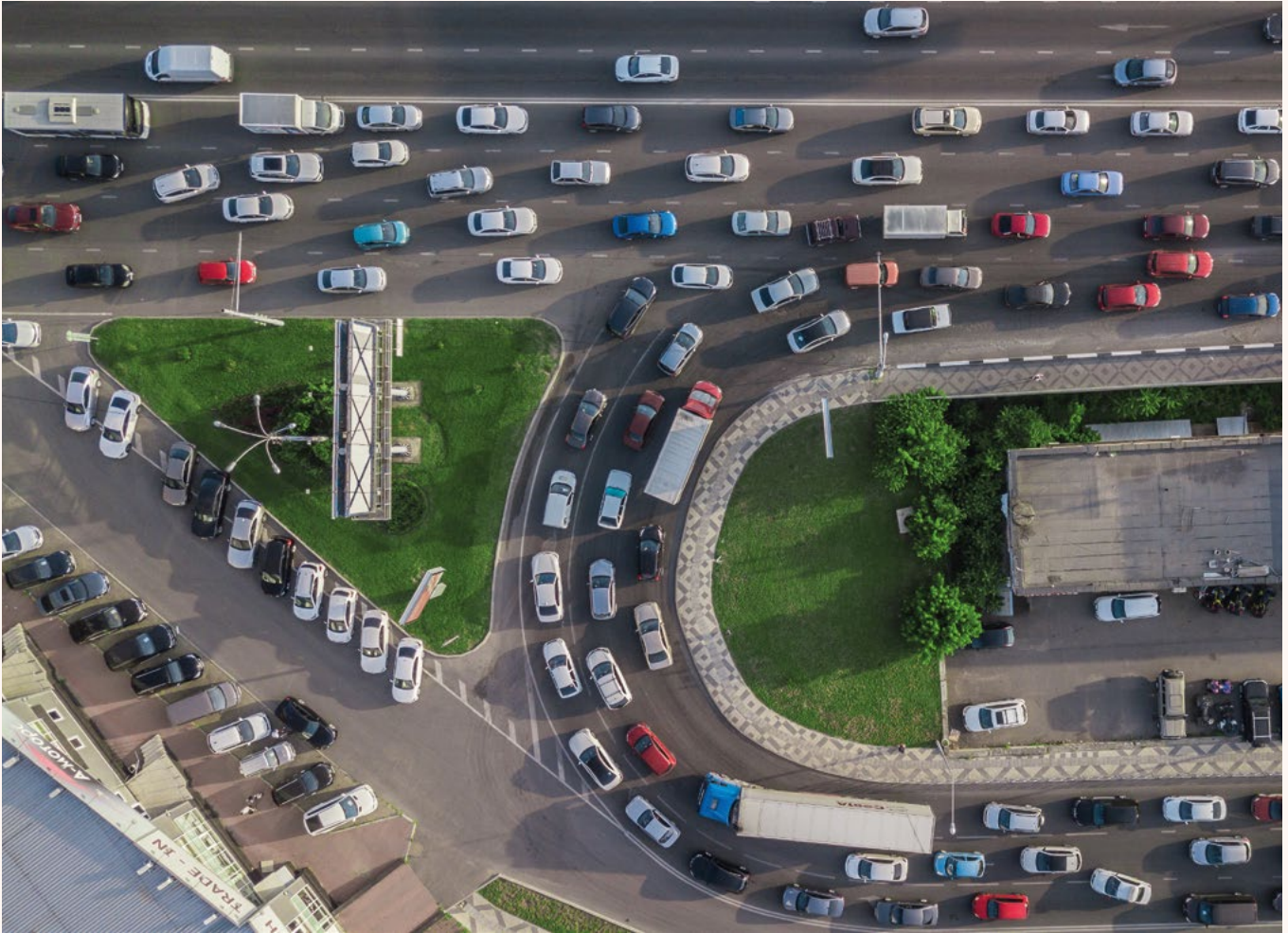
You cannot coordinate effectively with others until you are clear about what you aim to achieve. Even a slight shift in a goal's definition can lead to completely different opportunities becoming the priority.

For example, a goal to “help kids now” might lead one to fund malaria bed nets, a proven, high-certainty solution. A goal to “help future kids,” however, might lead to funding higher-risk medical research and development (R&D). To an outsider, both goals are “helping kids.”

But the difference in the “WHEN” dimension creates two vastly different portfolios, networks, and sets of required expertise.

Even when people share a goal, they can disagree sharply about the means, for example, private action versus policy change. This is the root of why well-intentioned people—family members, board members, and advisors—so often disagree. Much of what we call strategy is the subjective act of choosing which lens to apply. As **Figure 3** illustrates, filtering the same opportunities through different goal lenses can produce very different assessments of what is “best.”

Illustrated story: Alice's cousin, Bob



Diversity in perspectives doesn't have to be a problem; it can be a source of strength. As the old parable reminds us, when several blind men try to describe an elephant, each has a valid but incomplete perspective. Complex social and environmental problems are the same; they are too vast to be understood through a single lens. The world needs diverse perspectives to solve its problems. The challenge, then, is not to force everyone to see the world the same way. It's about recognizing our own lenses and learning to engage constructively with those who view the world differently.

Consider Alice and her cousin, Bob.⁷ Despite sharing a goal to improve global health through their family foundation, they often find themselves in conflict, unable to approve any significant grants, and straining their personal relationship.

Navigating Gridlock

When a group of people with different lenses tries to make a decision, the result is often “gridlock”—either persistent conflict or avoidance of the topic. In their book *Breaking Through Gridlock*, Jason Jay and Gabriel Grant argue that the way forward isn't to quarrel over the “facts” of an investment, but to engage in structured conversations about the underlying lenses.

Conversations get stuck when we become attached to being “right” and see others as “resistant.” The key is to notice this attachment and separate disagreements about goals from disagreements about methods. Ground yourself in what you truly want (both progress on your goal and a healthy relationship), and then shift to a space of curiosity and inquiry.

From there, ask questions to understand what the other person values, what their goals are, and why those goals matter to them. This shared understanding creates a foundation for a creative search for “win-win” options—new investment ideas that can achieve both sets of objectives, rather than assuming a simple trade-off. **Move from asking “What are my goals and values?” to asking “What goals do I share with a coalition strong enough to achieve them together?”**

FIGURE 3

Different goals → different assessments of opportunities

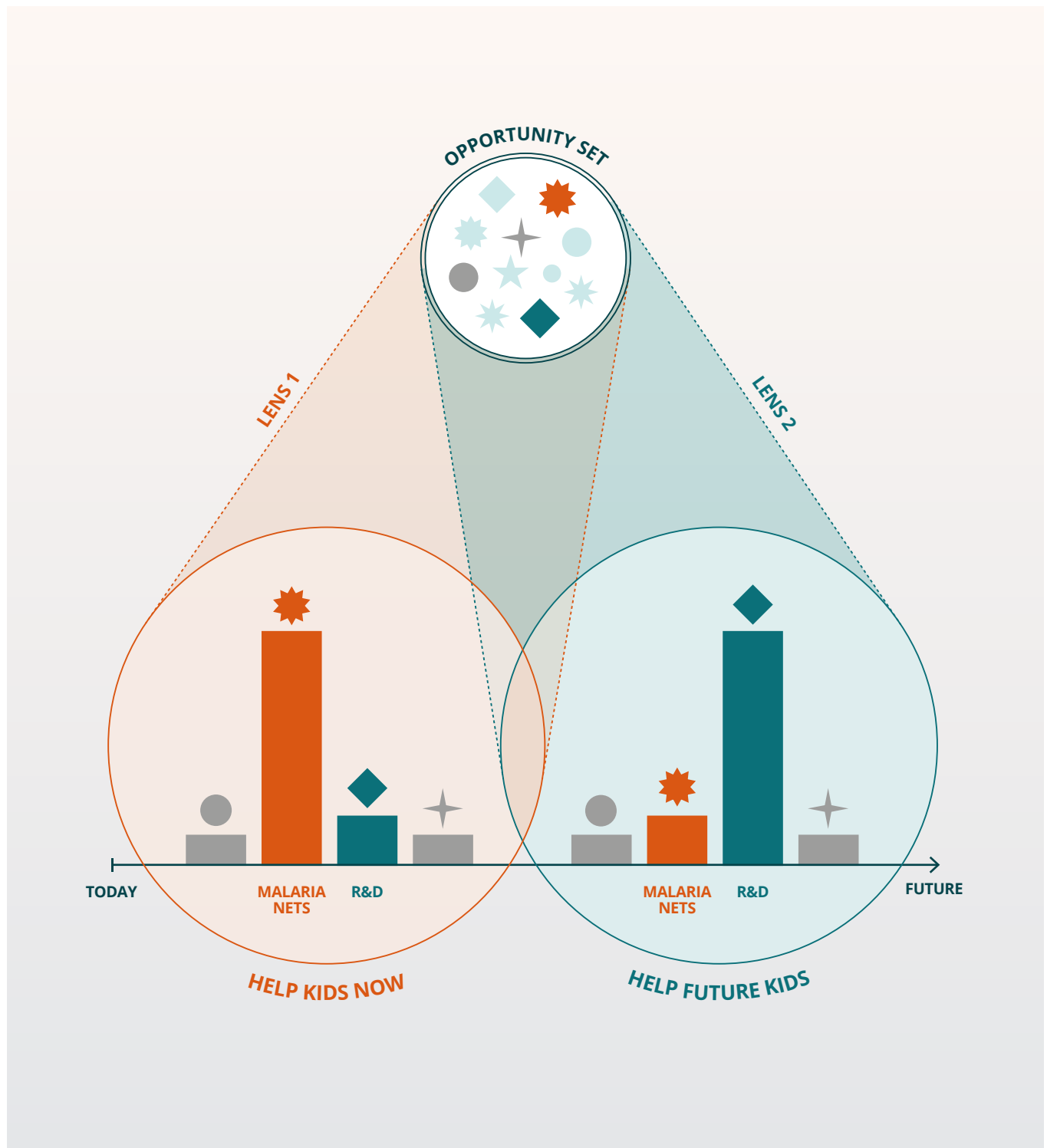


Figure 3 illustrates how the same set of opportunities can yield distinct assessments based on different goal perspectives. In this example, the key difference is the Time (WHEN) dimension. One goal focuses on helping “kids now” (A - Malaria bed nets), while the other aims to support “future kids” (B - R&D).



Breaking Alice and Bob's Gridlock



The problem lies in a subtle, unstated difference in their underlying goals. When they finally use the principles of navigating gridlock to understand each other's lenses, the true source of the conflict is revealed:

Bob's goal is to help people who are suffering now, and he prefers low-risk, proven solutions with high-certainty outcomes.

Alice's goal is to generate as much impact as possible over the long run, making her more open to higher-risk, evidence-backed bets that promise much larger, albeit less certain, payoffs.

This shared understanding breaks the stalemate. They realize their conflict isn't about facts; it's about their differing views on the Time (WHEN)

dimension. Bob seeks immediate certainty, while Alice focuses on future potential. Such divergences can happen across any dimension.

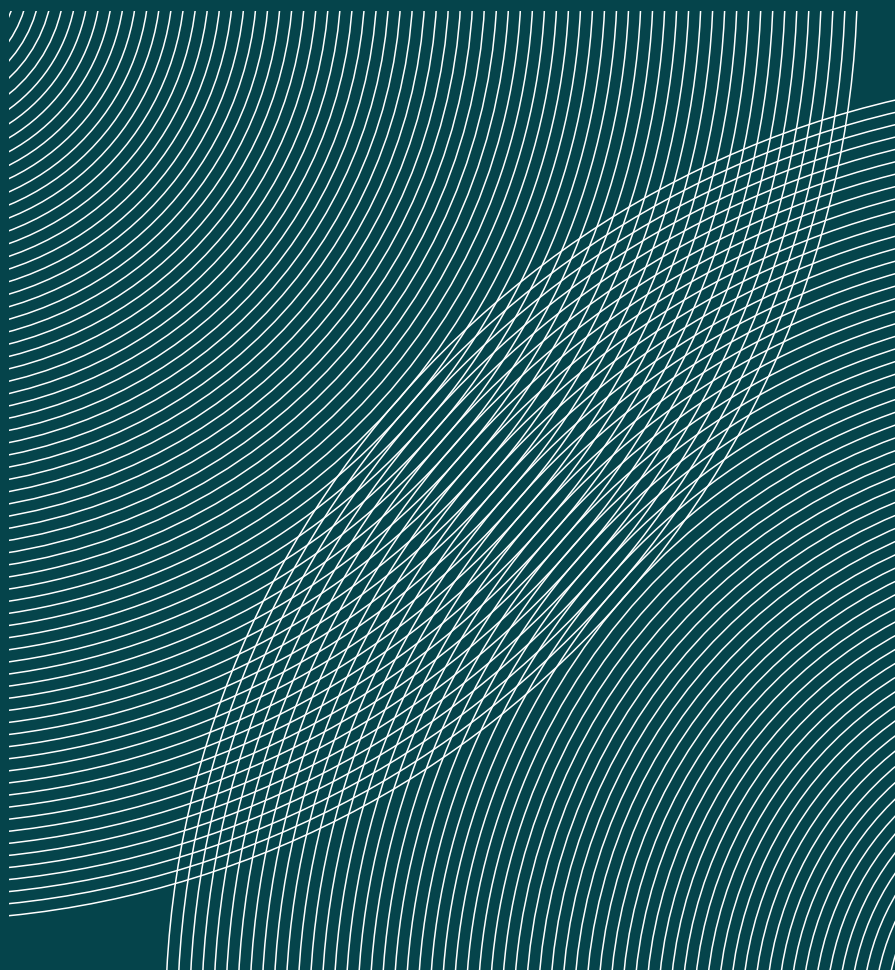
Moving forward

They agree on a practical next step: rather than arguing over which approach is "better," they create distinct buckets for each goal. In other situations, teams might instead agree on a blended strategy, run a time-boxed pilot, or decide to prioritize one lens for now.

To balance and coordinate these buckets in the long run, they also agree to conduct further research and study how other investors manage these trade-offs. They recognize that while separation works for now, finding shared ground could unlock greater leverage in the future.

This illustrates how gridlock is rarely resolved by arguing over data or making assumptions about what others are thinking. It is resolved by acknowledging how people's lenses differ and then choosing a structure that fits: sometimes a clear decision, sometimes a compromise, and sometimes distinct buckets. Their chosen resolution moves them from conflict to action.

However, now that Alice has her own focused bucket for "Future Health Innovation," she faces a new challenge: how does she coherently choose between a venture capital investment and a research grant to achieve that goal?



How to put this insight into action

Diagnose gridlock: Reflect on a recent disagreement about a grant or investment. Was the conflict really about the “facts,” or was it about a subtle, unstated difference in your goals?

Practice curious inquiry: When a collaborator disagrees with you, resist the urge to defend your position. Instead, adopt a curious mindset. Ask questions to uncover their perspective: “Can you tell me more about why that matters to you?” or “What does success look like from your point of view?”

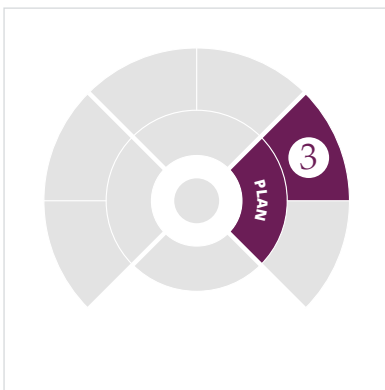
Identify a path for joint learning: Recognize that both your position and your collaborator’s are based on assumptions. Rather than seeking an immediate “win-win,” focus on a next step that allows you both to test those assumptions and learn together, just like Alice and Bob.

“The first principle is that you must not fool yourself—and you are the easiest person to fool.”

— Richard Feynman



Without coherence, you leave value on the table



Choosing which goals to prioritize is a personal, often moral, decision. However, once you select your goals, you can assess your actions against a clear standard: coherence. While no one can dictate your values, anyone can assess if your decisions align with them.

What “coherence” means

Even if you’re uncertain about your values, or how to act on them, you can control whether your decisions fit together and reflect the same values. You can debate goals on moral grounds, but coherence is about whether your actions match the goals you claim to have. If your choices are a muddled reflection of your priorities, they won’t effectively represent what you care about. **In that case, you risk leaving value on the table according to your own criteria.**

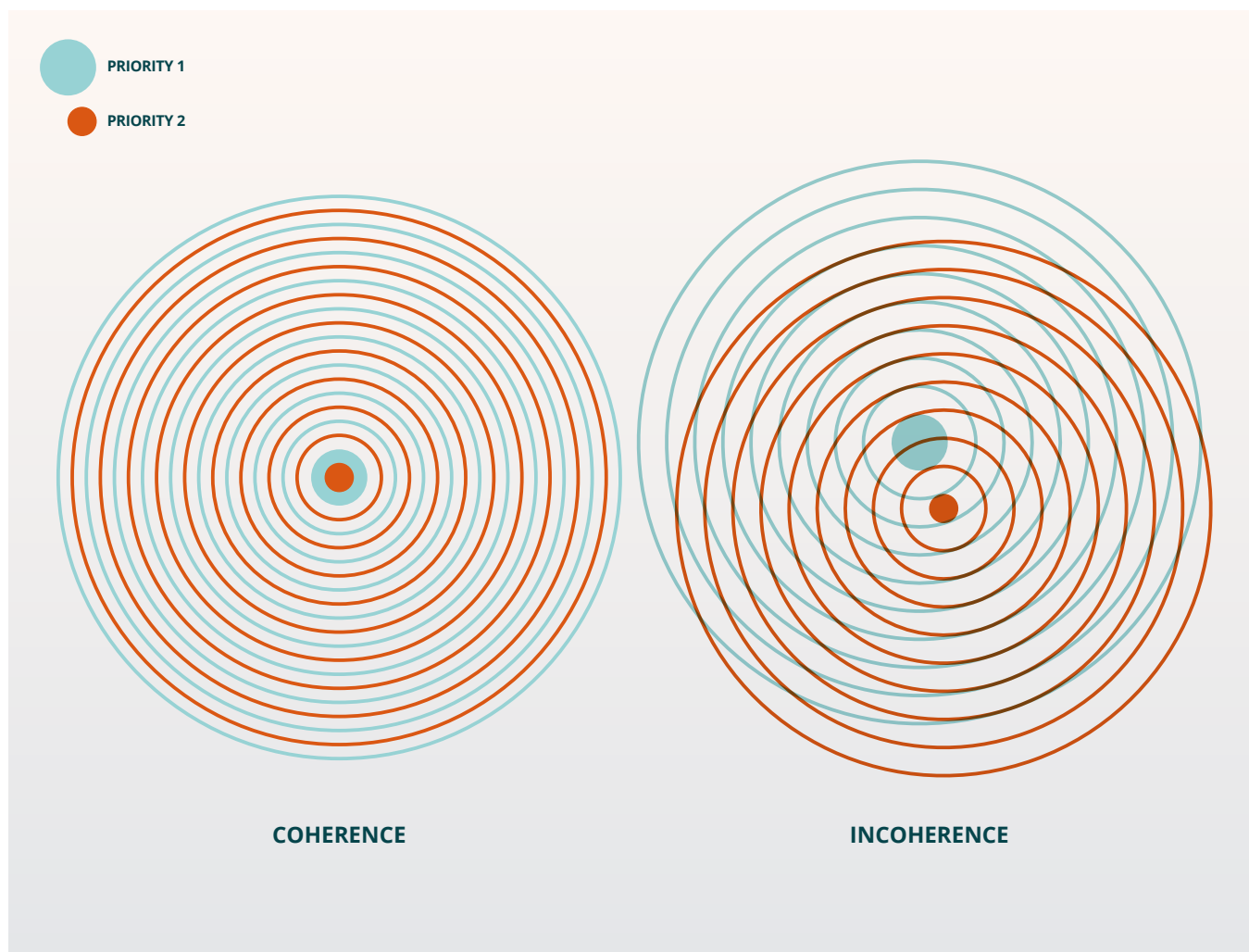
Many investors and philanthropists are less coherent than they think, often for understandable reasons: committees, legacy commitments, and the complexity

of impact. Another common reason is discomfort with explicitly managing trade-offs—stating priorities, saying no, and ranking opportunities. The cost is hidden but real: less progress toward your goals. That’s why having clear goals (Insight 1) is essential; vague inputs make coherence challenging.

For example, consider an investor who practices disciplined philanthropy. If they accept lower financial returns in their impact investing portfolio for ambiguous impact claims—claims that wouldn’t pass their grant committee—they risk being incoherent. By accepting a financial loss for inadequate impact, they effectively make a grant that doesn’t align with their standards—money that could have been used better elsewhere.

FIGURE 4

Coherence vs incoherence



Coherent competition for capital

Once you have clear goals, the most effective investors and philanthropists seek to maintain what we call a **“coherent competition for capital.”**⁸

This concept has two key parts. First, competition means every opportunity must continuously prove its worth against all other options.

Second, coherence means applying the same values and rules consistently across all opportunities in that competition. It’s this blend—a comprehensive competition and consistent criteria—that creates an effective process.

Trade-offs: A universal challenge

Trade-offs are often uncomfortable, which is why many investors keep their goals vague or treat each investment as a stand-alone decision. But ignoring trade-offs doesn’t make them vanish; it only leads to poor management.

Even an investor who believes they only fund “win-win” opportunities cannot escape this reality. Given two excellent investments, they still have to choose which one is the best use of capital.

Furthermore, even for a foundation devoted to a single impact goal, there is a fundamental trade-off to manage: creating **impact now** (i.e., through grants) versus generating **financial returns** to support greater impact in the future.



Participants at the "Impact Investing for the Next Generation" training in Boston, MA.

Making trade-offs explicit in practice

Julie Sunderland, then founding director of program-related investments (PRI) at the **Gates Foundation**, described in the *Stanford Social Innovation Review* how her team managed this impact-financial trade-off in practice.⁹ When considering an investment in a high-impact, high-risk venture, they essentially asked: *"Is the impact we expect this investment to generate worth the expected financial cost, compared to what an alternative grant could achieve?"*

The investment team defined the *"risk share"*—the expected cost of an investment compared to more commercial alternatives. Then, the grantmaking team assessed whether this expected cost was a wise use of the foundation's capital. If so, they funded the risk share from their budget. This wasn't just an accounting trick; it was a way to make investment decisions that consistently reflected their grantmaking strategy.

Impact valuation

The *"risk share"* approach relates to a growing strategic tool: *impact valuation*. This is the practice of making the importance of an investment's impacts clear by expressing them in a common metric. This helps manage trade-offs and guide decision-making.

In this example, an investment being worth its *"risk share"* implies that its impact is at least as important as the outcomes the foundation could generate with an alternative grant.

Impact valuation is a core component of the broader practice of *impact-financial integration*, which aims to manage impact and financial performance together in a single, coherent way.

Visual coherence: Alice's process

Figure 5 (following page) shows how Alice approaches her Pandemic Preparedness strategy. She starts with a set of opportunities and assigns financial and impact scores to each one. The figure then presents the potential selections Alice could make based on different trade-offs between the financial and impact scores.

As the figure shows, the most effective portfolios lie on the *"impact frontier,"* meaning they offer the best possible impact given a target financial score.¹⁰ These frontier portfolios are built from a coherent selection of opportunities—their choices can be explained by a single, consistent rule. Incoherent portfolios fall below this frontier, and their messy mix of decisions leaves value on the table.

Putting coherence into practice

Coherent valuation emphasizes the importance of directing your time and energy toward the highest-stakes decisions. It's more effective to focus on significant trade-offs than to get bogged down in minor choices, like picking between similar ESG ETFs. While a detailed quantitative process can feel overwhelming, the main principle boils down to two straightforward questions:

- * If this investment has "below market" returns, does its *combination* of impact and financial return make it a better choice than an alternative investment or grant?
- * If this investment offers competitive returns and generates a significant impact, can I increase my allocation to it?

As the examples of Alice and others in the subsequent "Different Paths to Coherence" section reveal, creating a method to answer these questions provides strategic clarity and inspiration for many investors.

Of course, maintaining coherence does not mean your approach is frozen in time. As we explore in Insight 6, your goals and strategies will evolve as you learn.

FIGURE 5

Coherent competition for capital

Coherent selections

Figure 5 illustrates how Alice uses a coherent process to select investments for her Pandemic Preparedness structure. Even though this structure is devoted to an impact goal, there is always a trade-off to manage between more impact now versus prioritizing financial returns that can fund impact in the future.

Imagine a set of twenty investment opportunities, each with impact and financial scores as assessed by her team. Assume she needs to choose up to five investments for her portfolio.

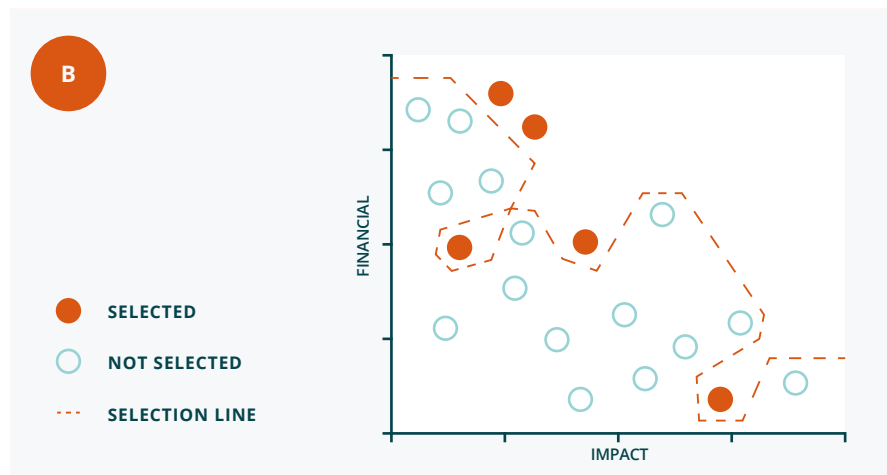
A coherent rule

Panel A shows three possible coherent selections. In each case, Alice creates a blended score for each opportunity by summing the financial and impact scores with a given weight on the impact score. She then selects the four to five opportunities with the highest blended score. This selection process can be viewed as a straight “selection line” on the scatterplots; the line’s slope changes depending on the weight given to impact.



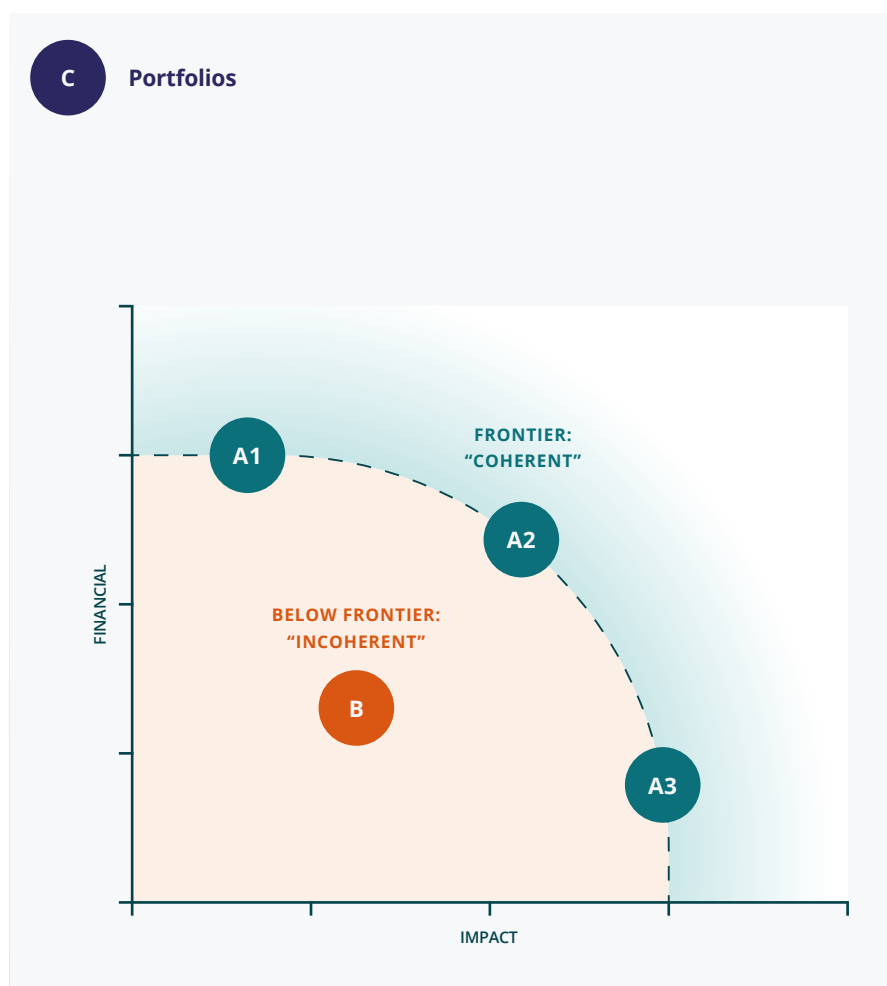


Financial versus impact is only one example. Similar differences can arise between other priorities, including values alignment and impact. Which priorities do you find hardest to balance?



What incoherence looks like

Panel B illustrates an *incoherent* selection. This is a mix of five investments that could not have been selected using any single, consistent blended score.



The impact frontier

Panel C plots the financial and impact scores of the portfolios Alice can form. The coherent selections from Panel A lie on Alice's "impact frontier"—the set of best-possible portfolios available to her. Any point on this frontier represents a best-possible portfolio, meaning it is impossible to improve on one dimension without giving something up on the other. However, the incoherent selection from Panel B lies below the frontier, leaving both impact and financial value on the table. This illustrates incoherence: no matter what weight you choose for impact, Panel B cannot be justified by that same weighting.

Different paths to coherence

Coherent management is not one-size-fits-all; it depends on context, shaped by an investor's expertise and available opportunities. Here are three distinct but coherent paths for investors dedicated to generating positive impact.

PATH 1

Allow yourself to stop

One CSP alum's journey led them to become a leader in grantmaking focused on extreme poverty. To complement this work, they ventured into impact investing. However, they found the available advisors did not offer investment opportunities that matched the high quality of the grant proposals they reviewed daily. Moreover, these options came with high administrative costs, which made them inconsistent with their main impact goals. They chose to pause their exploration of impact investing—a pragmatic decision to focus their resources where they could generate the greatest impact.

PATH 2

Build an edge

In contrast, Jochem Wieringa, with a background in venture capital, took an investment-oriented approach to create his own unique edge. He invested years in developing deep investment contacts across Africa, allowing him to avoid reliance on intermediaries and tap into a wealth of neglected opportunities. These investments benefit stakeholders similar to those in the CSP alum's work, yet provide a compelling mix of impact and high returns. He keeps his focus on leveraging his specialized access, using an impact valuation approach to ensure a clear competition for capital across all opportunities, including the best grants.

PATH 3

Build a disciplined process

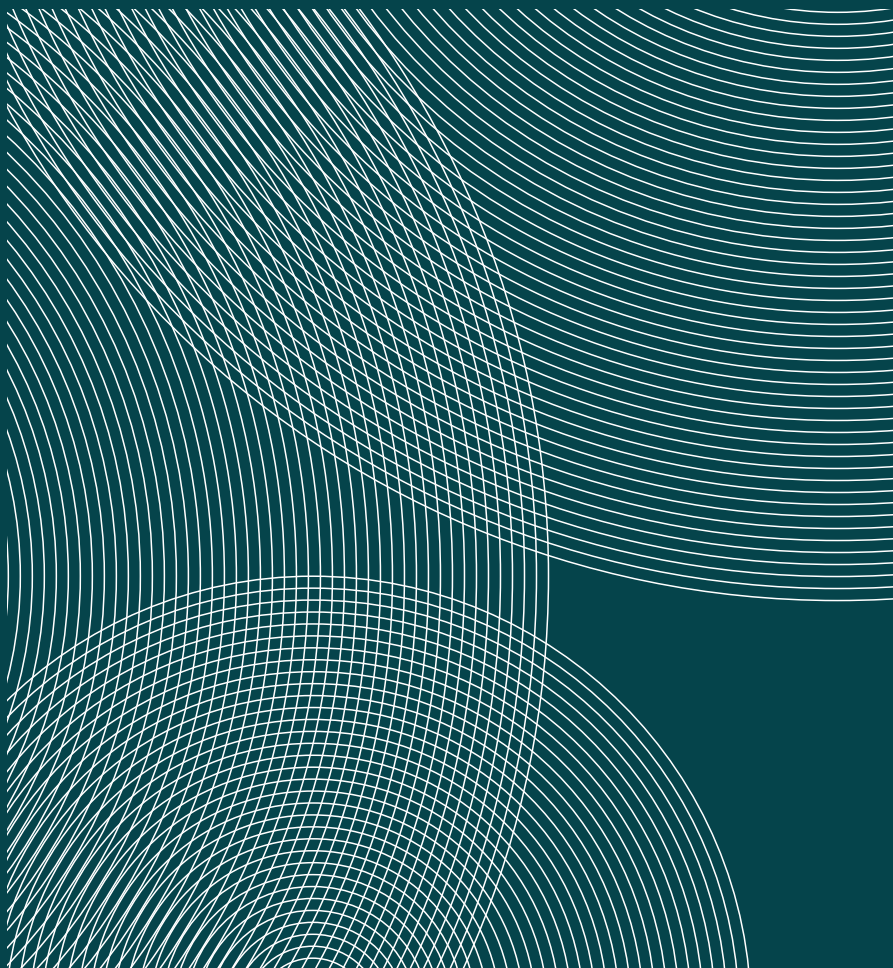
Another CSP alum, Paolo Fresia, employs his own impact valuation method to maintain clear competition for capital, even without a specialized edge. He uses both quantitative and qualitative criteria to assess his options, enabling him to make coherent trade-offs. For instance, he can directly compare a grant to a climate charity with a loan to a regenerative agriculture project and an equity investment in a green-tech company. This structured approach ensures every dollar is allocated in a way that best serves his impact goals.

What these paths share

Ultimately, it comes down to clarity on your goals and how you prioritize them. You can't compare an investment and a grant without clarity on how they contribute to your goals and on the relative priority of their contributions. This highlights the importance of identifying and clarifying your goals (Insights 1 and 2).

Where coherence breaks

However, coherence has its limits. If you try to mix fundamentally different goals—like “high-certainty financial security” and “high-risk impact”—into a single evaluation, the trade-offs can be unmanageable. In these cases, being more coherent isn't enough. You may need to separate the goals entirely. This brings us to the idea of carving out space for coherence based on specific goals (Insight 4).



How to put this insight into action

Nurture a coherent competition for capital: Pick an investment opportunity and ask yourself or your advisor, “How does this compare not just to its asset class, but to the best grant we could make? Or to the best financial investment we could make to save for future impact?” The real benefits of this may not be in any specific answer but in what you learn from kicking the tires on all new (and existing) investments.

Identify benchmarks: For an impact goal, select two “benchmarks” to help evaluate other opportunities: a high-return benchmark and a high-impact benchmark. These should be examples you’re familiar with or willing to learn more about. Ideally, they should be investments you can actually make, turning the comparison of new opportunities into a practical exercise.

Explore impact-financial integration further: Browse the curriculum and case studies on the Impact Frontiers website for ideas on how to get started with your own coherent approach to managing impact and financial returns together.

Related publications

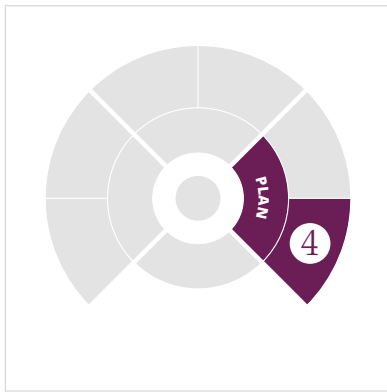
Impact Frontiers, *Online Curriculum*: The module “Introduction to Impact Ratings” is particularly relevant. Available at: impactfrontiers.org/online-curriculum

“Let all your things
have their places;
let each part of your
business have its time.”

— Benjamin Franklin



Pursue goals separately to enable coherence



Balancing multiple goals at once can be challenging and often unproductive. We all have limited attention and decision-making capacity (*“bounded rationality”*). A general solution is to create *focused structures*.

The benefits of focus

The purpose of focused structures is twofold: to manage conflicts and harness synergies. By separating unrelated goals (like financial security and global health), you can turn what often feels like a constant juggling act into occasional, high-level decisions.

Grouping related goals creates a dedicated space to cultivate potential synergies. The resulting sense of harmony, where conflicts between goals are managed and outweighed by strong synergies, has been shown to be a strong predictor of a goal-setter’s persistence, performance, and well-being.¹¹

DEFINING FOCUSED STRUCTURES

A focused structure is an active, dedicated allocation of capital, resources, and activities toward a specific set of goals. Effective structures share several key features:

- * **They have defined priorities.**
Each structure has clear priorities that allow for a coherent competition for capital within it.
- * **They serve related goals.**
Goals whose activities interact—whether through conflict or synergy—are best managed together.
- * **They separate unrelated goals.**
Goals that are unrelated are best separated to allow for focused execution in parallel.
- * **They can be formal or informal.**
A structure can be a distinct legal entity, like a trust or foundation, or simply a “mental account.”

FIGURE 6

A framework for focus

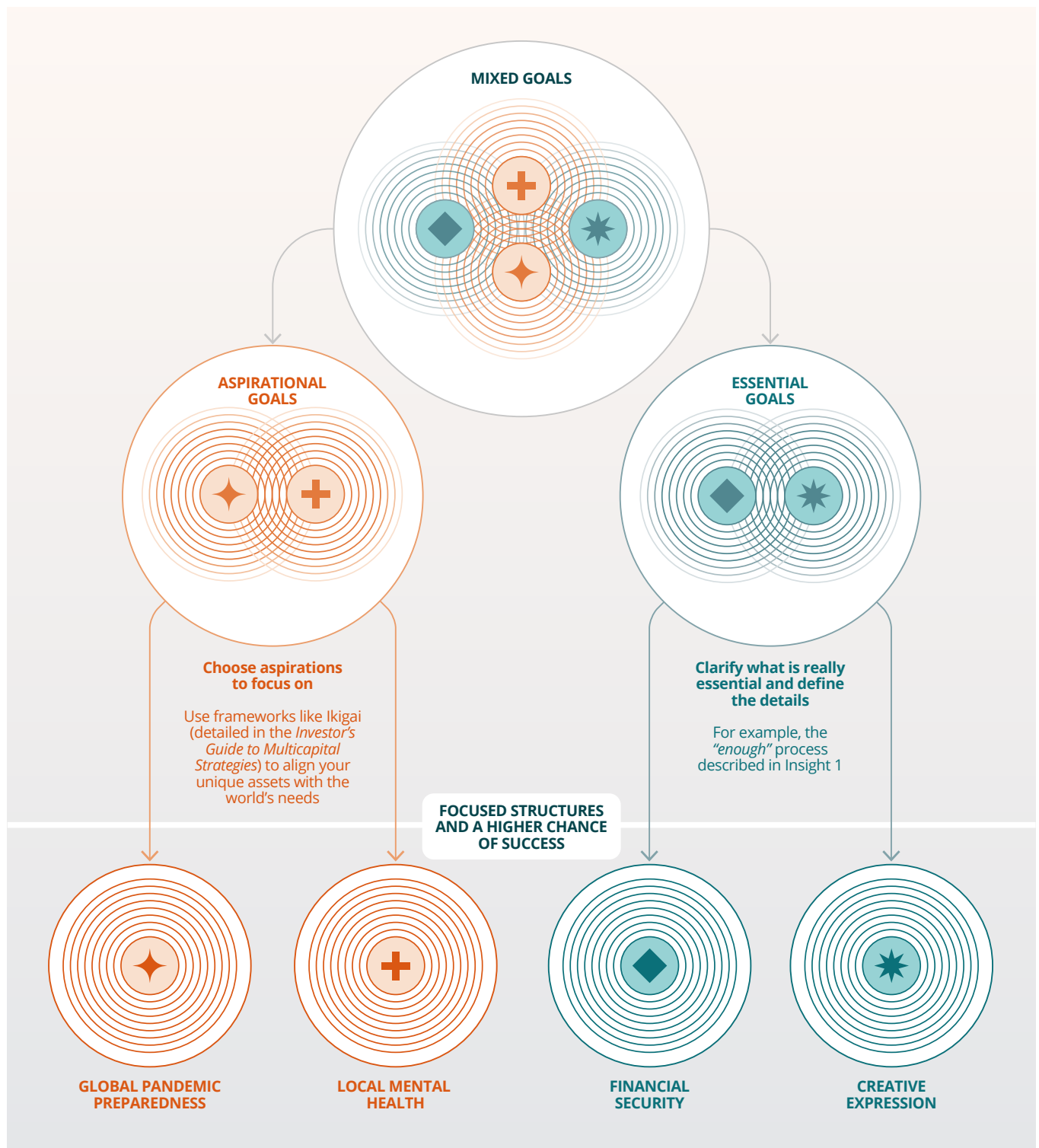
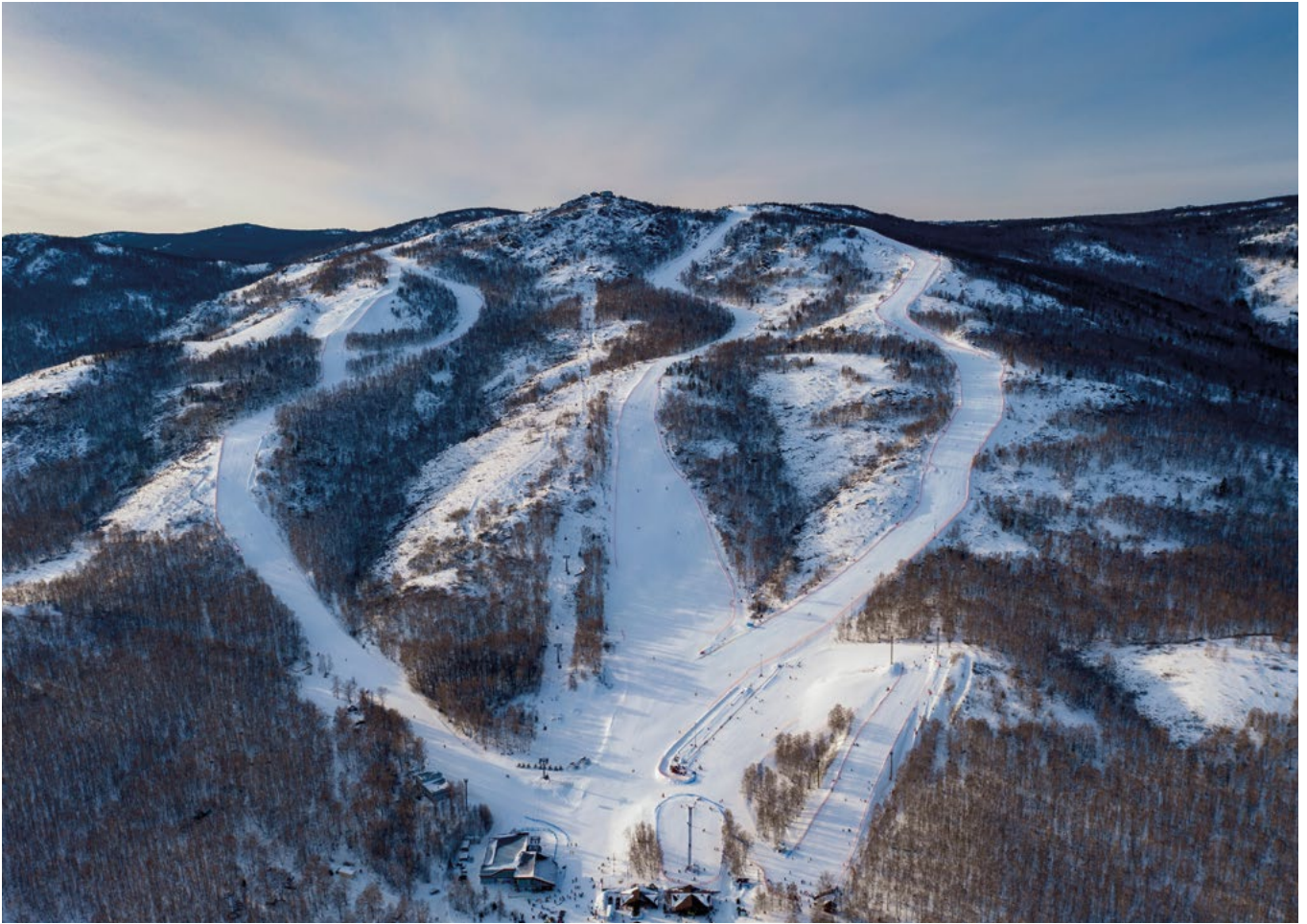


Figure 6 outlines Alice's method for identifying and selecting her goals that are best pursued separately. She began with an unclear mix of goals. She split this into essential and aspirational goals, as discussed in Insight 1. Her two essential goals are clear enough to separate, but they still need detail for effective planning.

Initially, her aspirational goals were bundled together under the broad aim of generating a positive "Global Health Impact." To narrow her focus in this area, Alice identifies the specific overlaps between her unique resources and the world's pressing needs. The result is her set of four focused goals and associated structures.



Wisdom from daily life

Think of it like organizing your time. Dedicating blocks for work, family, and health allows you to be fully present and effective in each area. This strategy is far superior to attempting to multitask everything at once. This separation lets you apply a focused approach within each block, enhancing decision-making and reducing paralysis.

Or consider how we separate retirement savings from daily cash. We create distinct structures (like pension funds) to protect a specific long-term goal from short-term competing pressures. Applying this same logic to your impact goals—separating your “safety” bucket from your “moonshot” bucket—is the most reliable way to ensure you don’t accidentally sacrifice one for the other.

Constraints and opportunities

In practice, these structures also need to account for real-world constraints and opportunities. A legal trust with strict limitations is a constraint that naturally imposes a structure. Your unique expertise in a specific industry is an opportunity that might define another structure.

Beyond asset classes

Traditional advisors organize around asset classes (e.g., stocks, bonds, real estate). The shift to goals-based investing is simple but profound: instead of organizing around these asset classes, you organize around what actually matters to you (e.g., security, impact, legacy).

Example: Alice and Bob



To see how this works, let's return to Alice, whom we first met in Insight 1. Having inherited a significant fortune, she begins distilling her high-level goals into concrete, actionable goals and structures, as shown in Figure 6.

Structuring for essentials

Alice began by identifying her **essential** goals as in Insight 1: "Financial Security" and "Creative Expression." To create focused structures and strategies, she needed to drill down further. Using the "enough" process, she established specific targets for her Financial Security. For Creative Expression, she decided to focus on her passion for music. This led to two distinct structures: a conservative portfolio for her financial security and a dedicated studio and budget for her music.

Because of her wealth, neither structure demanded an excessive amount of her capital to achieve the certainty she required. This left her with a significant "surplus" of both capital and time and, crucially, the mental freedom to be more ambitious.

The cost of a lack of focus

Bob, in contrast, kept all his capital in one pot, managed for the vague goal of "more." Without a clear financial goal, he felt constant anxiety and that he never had "enough" to pursue his own passions, leaving them as forgotten

dreams. During market dips, his anxiety spiked, prompting him to retreat to conservative investments. As he observed, "I'm technically wealthier than ever, but somehow I always feel like I need more of a buffer."

These examples highlight the essence of goals-based investing. Building on the work of Nobel laureates like Richard Thaler (on "mental accounting") and Herbert Simon (on "bounded rationality"), practitioners like Ashvin Chhabra have shown that investors can achieve better outcomes by aligning distinct pools of capital with clear, distinct goals.³ By creating a focused structure for her essential goals, Alice had unlocked the freedom to be more ambitious with her surplus.

Finding focus within Global Health

Alice turned to her **aspirational** goal around Global Health. While the research she and Bob conducted (Insight 2) was inconclusive about stakeholder preferences, it did highlight a global tendency to underinvest in prevention. This insight became the backbone of her impact focus.

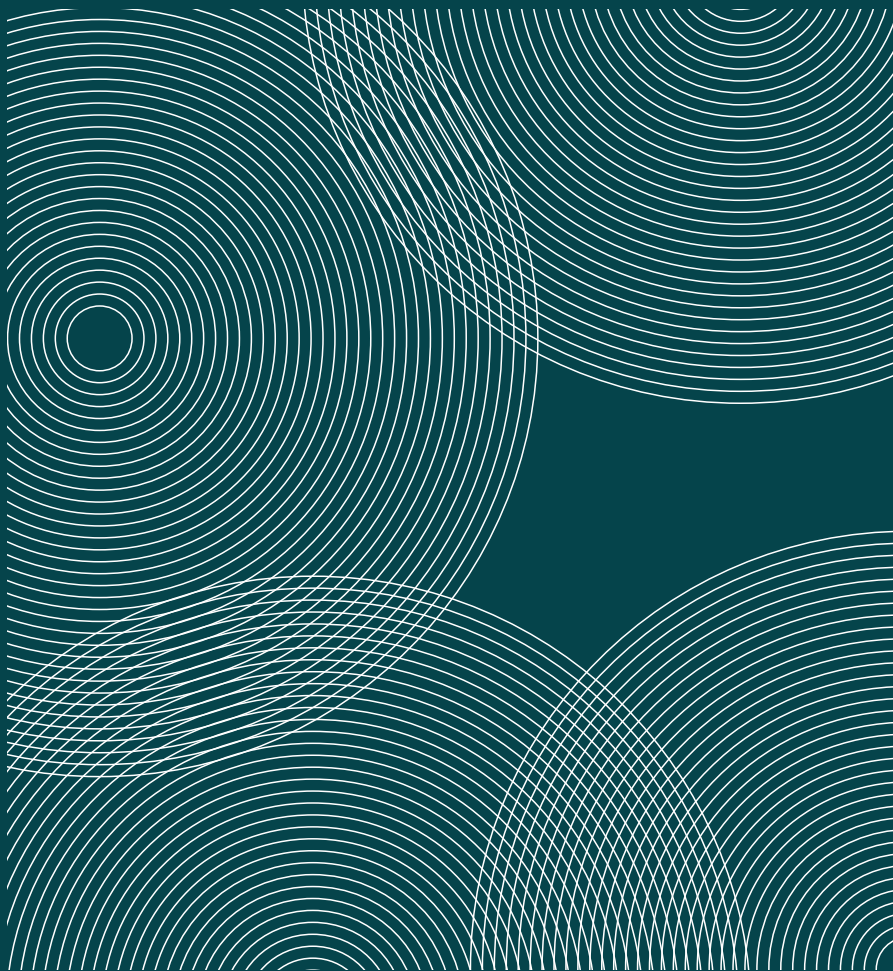
To sharpen her overall aim, she pinpointed the intersections between her unique resources and the world's needs. This approach is explored further in the Ikigai section of the [Investor's Guide to Multicapital Strategies](#).

This alignment is essential for maintaining commitment to her goals, especially when navigating the ups and downs of implementation. Through this reflective process, she identified two primary focus areas: Global Pandemic Preparedness, leveraging her PhD in microbiology, and Local Mental Health, inspired by her love for her community.

Long-term results

Meanwhile, Bob faced a different challenge. While he had pushed for rigorous, proven solutions at the family foundation (Insight 2), his personal capital remained in one mixed pot. Without distinct buckets to focus on different goals, his discipline evaporated. He supported a friend's project here and a colleague's initiative there in a scattershot manner, leaving him unsure of what he had truly accomplished. Bob's experience is remarkably common, even among sophisticated investors.

In comparison, Alice's coherent, structured approach significantly enhances her chances of achieving both her essential and aspirational goals.



How to put this insight into action

Take inventory: Start by listing your existing structures (formal and informal) and your key constraints and opportunities.

Secure your essential goals: Create dedicated structures to achieve your essential goals with a high degree of certainty. This is about securing the essential goals, so you can give yourself permission to be ambitious with your aspirational (impact) goals.

Support your aspirations: You can't chase every aspiration at once. Choose the specific aspirational goals that merit a focused approach, and allocate surplus resources to them. For ambitious impact goals, consider where your unique strengths align with the world's needs. (For more on this alignment, see the Ikigai section in the *Investor's Guide to Multicapital Strategies*).

Related publications

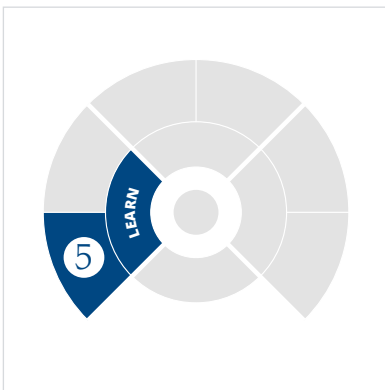
Rethink Priorities, Moral Parliament Tool: An interactive framework for investors grappling with how to allocate resources between competing impact goals. It guides you through a thought experiment, imagining your conflicting values as delegates negotiating a budget, to find a division of capital that satisfies your diverse moral priorities. Available at: parliament.rethinkpriorities.org

“Where there is a will,
there is a way.”

— Proverb



Clear impact goals unlock advanced strategies



With a foundation of clear goals, you are no longer bound by convention. When your focus is on the *outcome* rather than the *activity*, you become open to a wider set of tools.

You stop asking:
"What is the standard approach?"

and start asking:
"What can actually solve this problem?"

Unlocking advanced strategies

This clarity unlocks advanced strategies that may initially seem unconventional or outside your comfort zone. It opens up new possibilities for learning and enhancing your impact.

Figure 7 illustrates this potential: clear impact goals are the foundation, while a commitment to learning enables you to explore increasingly sophisticated strategies.

Advanced strategy examples

Let's check in with Alice a year after she implemented her focused strategies. Her initial investments seem to be performing well, but she feels she's only tackling symptoms, not the root causes.

In both her Global Pandemic Preparedness and Local Mental Health efforts, she notices a lack of coordination among key players. This prompts her to think beyond funding individual projects; she wants to influence the whole system. It's this realization that drives her to explore more advanced strategies, including the examples shown here.



Systemic investing

FOR LEVERAGING SYSTEMS AWARENESS

This approach leverages an awareness of the broader system related to an impact goal. It's about more than just financing specific organizations. It's about deploying a range of collaborative solutions designed to affect the deeper structures and dynamics that cause problems.



Knowledge transfer

FOR WHEN YOU HAVE DEEP SECTOR EXPERTISE

When you have expertise in a particular sector, targeted learning can reveal unique insights and financial opportunities. For instance, if your philanthropy leads you to understand the latest research on a disease, that knowledge can also improve your biotech investment decisions.



Multicapital strategies

FOR WHEN FINANCIAL CAPITAL IS INSUFFICIENT

A strategic approach that recognizes and deploys all forms of capital—economic (money), social (networks), cultural (knowledge), and symbolic (reputation)—to accelerate progress on positive environmental and social impact goals. For instance, using your reputation to convene stakeholders, not just your bank account to fund them.

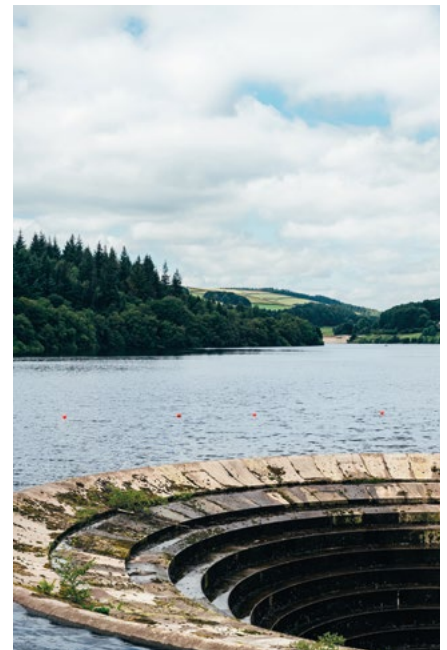


Impact valuation

FOR MAKING HARD TRADE-OFFS COHERENTLY

The practice of making the relative importance of an investment's impact characteristics explicit by expressing it in a common unit, such as a rating or a monetary value. This enables better management of trade-offs and informed decision-making. As explored in Insight 3, it can be a powerful tool.

For Alice, this is no longer a theoretical exercise; it's a practical challenge. She's now grappling with how to value her portfolio's contribution to long-term, systemic change alongside more immediate, measurable outcomes. This includes considering synergies where the joint effect of a set of investments is greater than the sum of its parts.



Mission hedging

FINANCIALLY HEDGING FUTURE IMPACT NEEDS

Like the reservoir overflow system shown above, a mission hedge is designed to create capacity when adverse conditions arrive. This means holding investments that are likely to perform well when your mission becomes more urgent. It's about ensuring you have more resources available when they're most needed. For example, holding semiconductor stocks if you worry about funding AI policy work, diagnostics investments if you worry about the next pandemic, or inflation-linked bonds if you support low-income households and worry about high inflation.

FIGURE 7

Clear impact goals are the foundation for advanced strategies

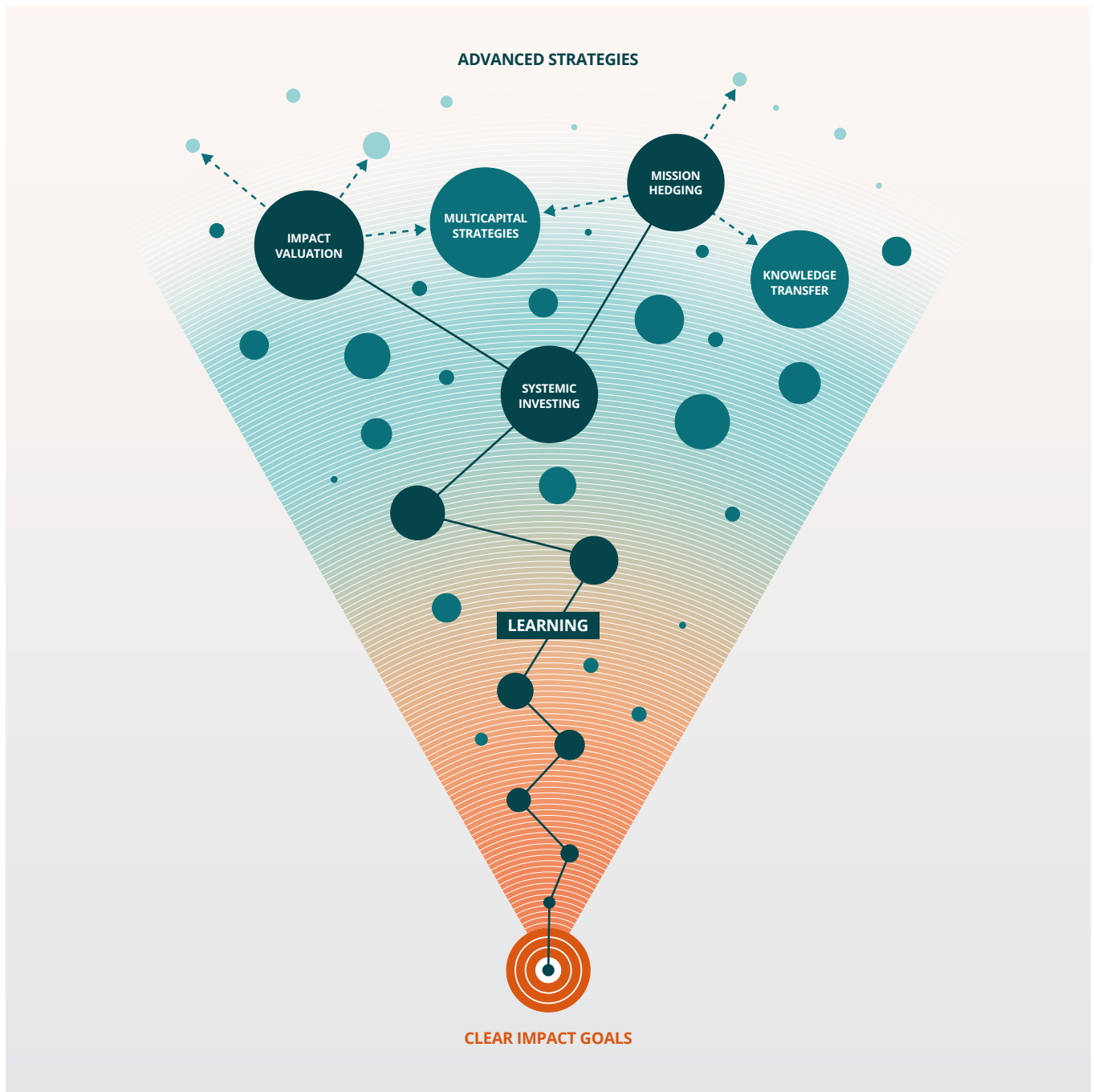
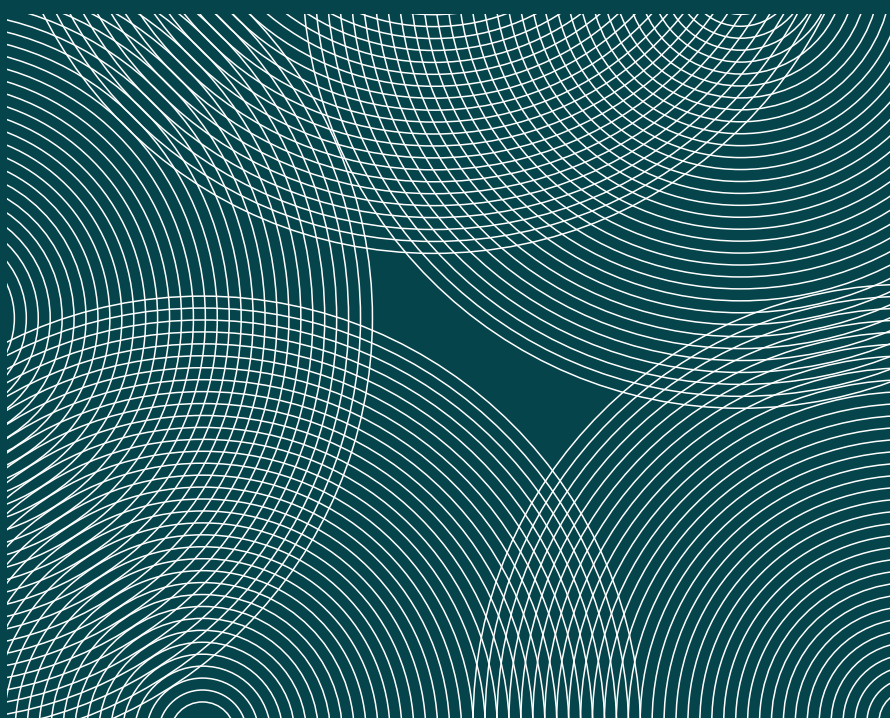


Figure 7 illustrates how clear impact goals serve as the foundation for more advanced strategies. **Clear Impact Goals** provide the stability and direction for growth. The strategies listed here, and others, emerge from **Learning**, which opens the door to more sophisticated approaches. The strategies are illustrative examples; their placement does not imply a sequence or ranking, but simply that clear goals are a necessary starting point.

Cross-pollination and synergy

The strategies shown in Figure 7 are not mutually exclusive silos. In fact, investors can combine them to harness powerful synergies. A systemic investing approach, for example, is greatly enhanced by deploying *multicapital strategies*—using social and cultural capital to build the coalitions needed to influence a system. Similarly, deep knowledge gained from a systemic approach can often yield the

unique insights required for successful knowledge transfer. The goal is not to settle on one strategy but to assemble a toolkit of approaches that work together to help you achieve your goals.



How to put this insight into action

Identify your biggest frustration:

What's your main frustration in your impact work? Is it a lack of coordination (points to *systemic investing*)? A feeling that you're not using all your skills (points to *multicapital strategies*)? This frustration is a powerful clue for where to go next.

Follow your curiosity: Which of the advanced strategies described in this insight intrigues you the most? Your curiosity can guide where you focus your learning next.

Set a learning-and-action goal:

Choose one topic from this insight, spend one hour learning about it in the next month, and identify one practical next step you could take in your current setup.

Schedule a "Strategy Review":

Set a reminder for six months from now to ask yourself: "Is our current approach sufficient, or do we need to explore a more advanced strategy to achieve our goals?"

Related publications

CSP and MIT Sloan, *The Investor's Guide to Systemic Investing*: A deep dive into the principles and practices of systemic investing. Available at: cspglobal.org/research/publications/investors-guide-systemic-investing

CSP and MIT Sloan, *The Investor's Guide to Multicapital Strategies*: Explores how to leverage all forms of capital for greater impact. Available at: cspglobal.org/research/publications/investors-guide-multicapital-strategies

Vionnet, S. (2022). *Valuing Impact: A practitioner's guide to impact valuation*: A comprehensive guide to the theory and practice of impact valuation.

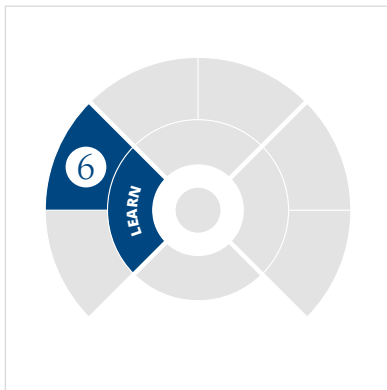
"I think that we ought always to entertain our opinions with some measure of doubt. I shouldn't wish people dogmatically to believe any philosophy, not even mine.

What I do think is this: that if a philosophy is to bring happiness, it should be inspired by kindly feeling."

— Bertrand Russell



Goals evolve



Your goals, values, and beliefs are not fixed; they are *hypotheses* that evolve with learning, experience, and a changing world.

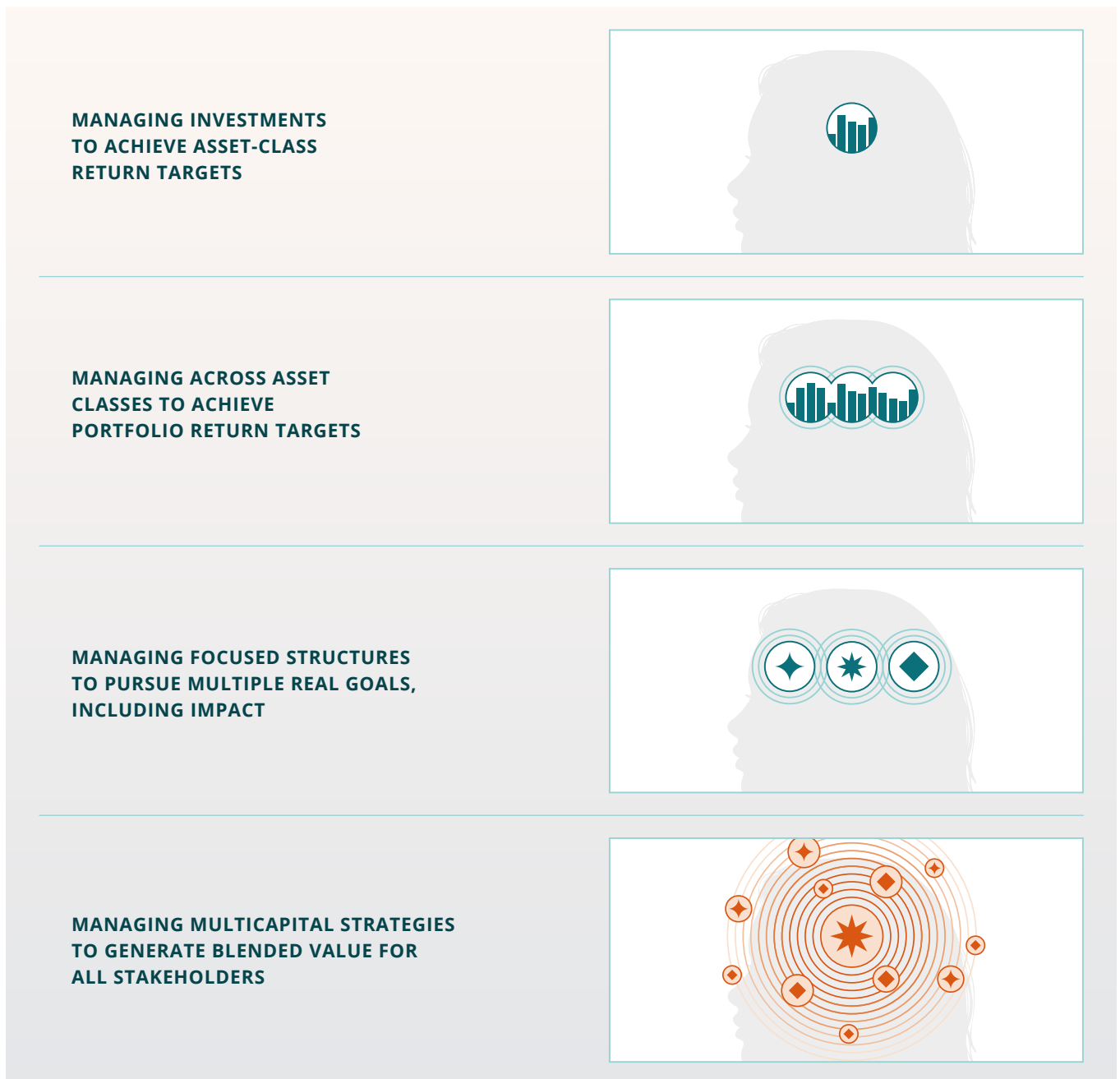
That's not a failure of conviction; it's part of acting thoughtfully over time. Clarifying your goals is not the end, but the beginning of a journey filled with discovery.

This evolution happens on multiple levels. Your **intrinsic goals**—your most fundamental views on what makes a good life and a better world—will likely change over time through philosophical reflection, exposure to new ideas, and profound life experiences. More frequently, your **instrumental goals**—the practical strategies and rules you use—will be updated based on new information and direct feedback from your actions.

This reality calls for **humility, experimentation**, and taking small, informative steps. You don't have all the answers upfront, so it is important to learn in ways that keep your options open and reduce the cost of being wrong. As impact pioneer Jed Emerson notes, this is a two-way street: **as you work to change systems, those systems, and your engagement with them, will inevitably change you.**¹²

FIGURE 8

Expanding awareness



Alice is just starting her journey. She sees herself as aiming, for now, at the third row of the “Expanding Awareness” diagram in Figure 8. She reads thinkers like Jed Emerson not as telling her she must reach the bottom row, but as offering inspiring glimpses of what deeper integration might look like.

She finds comfort in knowing that she doesn’t need to be perfect or to have all the answers. She understands that her goals will evolve, and she embraces the journey.

Figure 8 illustrates one, slightly tongue-in-cheek way an investor’s mindset and practice may evolve—from a narrow focus on financial returns to increasingly integrated management of multiple goals. We present this with a nod to the internet meme it resembles: the “Galaxy Brain” at the bottom is intentionally a bit much. It suggests a powerful, highly integrated worldview, not a required endpoint. The point is not to race to the deepest level, but to stay open to how your own thinking evolves.



Participant at the "Impact Investing for the Next Generation" training in Boston, MA.

The value of impact goals

Even if you don't currently have explicit impact goals, it can be worth exploring them. Beyond the direct good they can do for the world, they are also often good for you and more robust than personal desires.

They **expand your opportunities**, opening up new ways to use your capital and talent. Personal desires can often trap us in a narrow set of games—whether chasing status, mimicking influencers, or pursuing things that aren't possible in our current context. In contrast, the range of opportunities to help others is vast. The world is a big place; if your goal is to contribute, you will almost certainly find many opportunities.

Furthermore, these opportunities will often be **“low-hanging fruit” that are more effective ways to seek fulfillment than alternatives**. This isn't just a feeling; research shows that philanthropy can be a source of significant well-being for many people.¹³

A core problem with using wealth as a measure of success is that there are always wealthier people, which can leave you feeling dissatisfied. But if you use helping others as a measure of success, then it is natural to applaud and appreciate those who do even more.

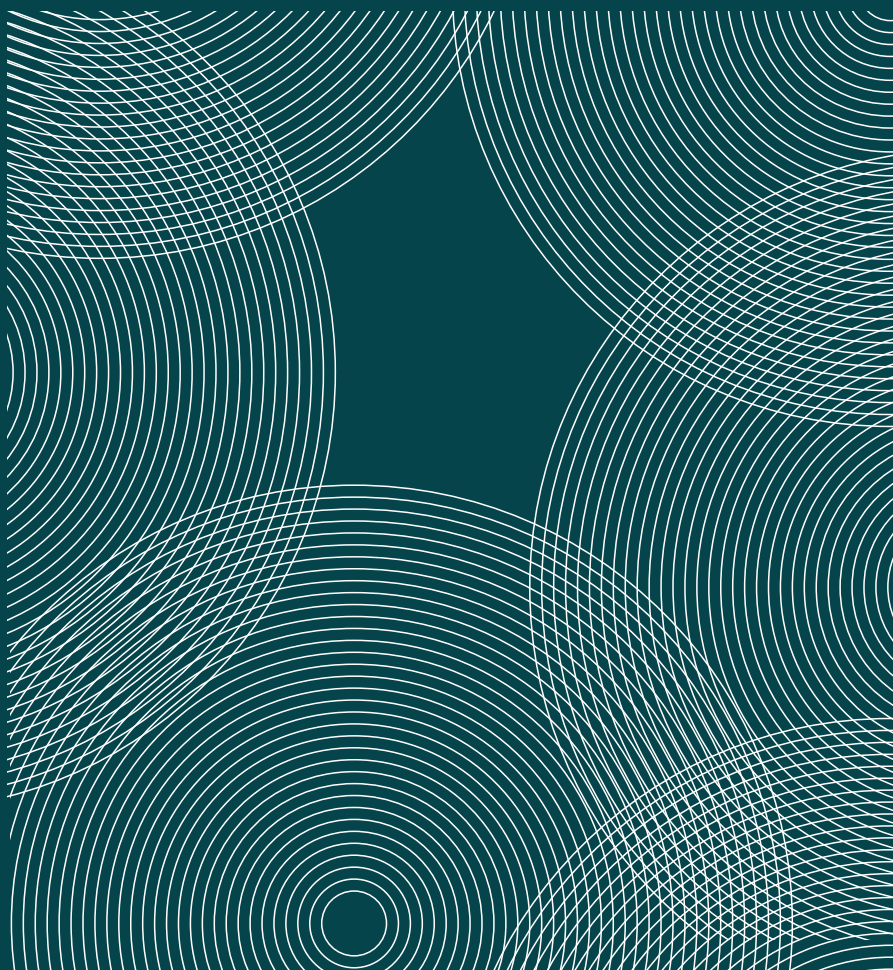
This creates a positive feedback loop: the act of contributing reinforces your sense of being enough (see Insight 1), which in turn unlocks an awareness of additional opportunities to contribute.

The Knowledge Illusion: why we never think alone

The humility required for this journey rests on a simple truth: we all know far less than we think we do. In their book *The Knowledge Illusion*, cognitive scientists Steven Sloman and Philip Fernbach show that human intelligence is fundamentally collective.¹⁴ We thrive by drawing on the expertise and perspectives of others.

This humility brings us full circle to Insights 1 and 2. Because our knowledge is collective, our goals evolve best when we work with other stakeholders to clarify shared goals and manage our differences. True stewardship isn't about knowing everything yourself; it's about building a learning system that evolves with the world.

For investors and philanthropists, this is why engaging with peers, listening to beneficiaries, and learning from communities of practice are essential for making effective decisions in dynamic environments. See the *Investor's Guide to Multicapital Strategies* and the *Investor's Guide to Systemic Investing* for further discussion.



How to put this insight into action

Schedule a “Goal Review”: Set a date six months or a year from now to formally review and refine your goals and strategies based on what you’ve learned. This is also valuable when you feel you’ve hit a plateau. If your portfolio feels efficient but uninspiring, it usually signals that your goals—not your investments—need a refresh.

Treat your goals as hypotheses:

Write down one of your core goals and challenge yourself: “What would need to be true for me to be wrong about this goal?”

Challenge your assumptions: Share your goals with a trusted peer and invite them to challenge one of your core assumptions. Alternatively, read one book or article that takes a position completely contrary to your own worldview.

Related publications

Emerson, J. (2018). *The Purpose of Capital*: An inspirational text for investors seeking to connect their capital to a deeper sense of purpose.

How to put this guide into action

Aligning your wealth with your goals is a journey, not a destination. While the journey is unique for each investor, the following steps offer a practical starting point.



1 Identify your goals

This step is about moving from a vague sense of purpose to a clear, articulated set of goals and understanding of other stakeholders' goals.

The key actions of Insight 1 and Insight 2 are:

- * **Clarify your goals:** Use the Goal Dimensions Diagram from Insight 1 to articulate the WHO, WHAT, WHEN, WHY, RISK, and HOW MUCH for each of your key goals (using the **Worksheet** that follows this section). For impact goals especially, be precise about WHO.
- * **Define your financial needs:** Ask your financial advisor to conduct a comprehensive financial planning or goals-based planning exercise. This is a crucial step often overlooked by investors, including the wealthiest. The process should help you clearly classify your financial goals into essential and aspirational, and identify any surplus resources, as described in the "Clarifying your essential financial goals" subsection of Insight 1.
- * **Diagnose gridlock:** Identify a recent disagreement you had about a grant or investment. Was it really about the "facts," or was it about a subtle, unstated difference in your underlying goals?

Note: Treat your goals as hypotheses at this stage. Return to this step to refine them as your understanding evolves.



2 Plan your approach

This step is about translating your goals into a plan with concrete next steps, focused structures, and milestones.

The key actions of Insight 3 and Insight 4 are:

- * **Secure your essential goals:** Create a dedicated structure optimized to achieve them with a high degree of certainty. This is about giving yourself permission to be ambitious with your aspirational (impact) goals.
- * **Support your aspirations:** You can't chase every aspiration at once. Choose the specific aspirational goals that merit a focused approach, and allocate surplus resources to them. For ambitious impact goals, consider where your unique strengths align with the world's needs. (For more, see the Ikigai section in the *Investor's Guide to Multicapital Strategies*).
- * **Nurture a coherent competition for capital:** Ask yourself (or your advisor): "How does this opportunity compare not just to its asset class, but to the best grant I could make? Or to the best financial investment I could make to save for future impact?" The real benefits of this may not be in any specific answer but in what you learn from kicking the tires on all new (and existing) investments.



Participants at the “Impact Investing for the Next Generation” training in Boston, MA.



3 Implement your plan

Goals are powerful only when they guide your actions. Yet, implementation is a topic covered extensively by many excellent resources from our organizations and others on sourcing, due diligence, and the execution of specific types of grants and investments. This guide focuses primarily on the critical Identify and Plan steps, as the clarity gained there can help make your implementation far more focused, disciplined, and effective.



4 Learn and evolve

This final step is about the ongoing work of learning and adaptation to inform your next cycle.

The key actions of Insight 5 and Insight 6 are:

- * **Set a learning-and-action goal:** Choose one topic from this insight, spend one hour learning about it in the next month, and identify one practical next step you could take in your current setup.
- * **Schedule a “Strategy and Goal Review”:** Set a date six months from now to review your progress. Use this as an opportunity to refine your goals and structures based on what you have learned, and to ask a key strategic question: “Is our current approach sufficient, or do we need to explore a more advanced strategy to achieve our goals?”
- * **Challenge your assumptions:** Share your goals with a trusted peer and invite them to challenge one of your core assumptions. Alternatively, read one book or article that takes a position completely contrary to your own worldview.

Worksheet: Clarify, Structure, and Act

Use this worksheet to take one specific goal from a vague intention to a coherent strategy.



1 Select your focus

Briefly list 2–3 top priorities you are currently juggling (e.g., impact, financial, personal).

Circle one goal to focus on for this exercise.

2 Define the dimensions of your goal

For the goal you circled above, be specific:

WHO: Who does this goal serve?
Who are the stakeholders?

WHY: Is it *intrinsic* (an end in itself) or *instrumental* (a means to another end)?

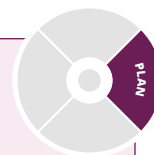
WHAT: What specific outcome(s) are you seeking?

RISK: Is it *essential* (must be achieved) or *aspirational* (ambitious, but failure is acceptable)?

WHEN: When should these outcomes occur?

HOW MUCH: Is it *satisficing* (aiming for “enough”) or *maximizing* (aiming for the best possible)?

3 Find your allies



Potential collaborators: Who else cares about similar goals? (e.g., family members, other investors, specific networks).

Friction check: Are you currently in “gridlock” with any potential collaborators because they define success differently?

The sweet spot: How could you define this goal to align with a wider group of collaborators, enhancing your total impact through coordination?

4 Assign structure

Current status: Does a specific “bucket” or structure already exist for this goal?

Yes, it lives in:

No, it is currently mixed with other goals.

Action: If it is mixed, do you need to create a focused structure (e.g., a dedicated fund, foundation, or distinct “mental account”) to protect this goal from competing priorities?

First implementation step

What is one practical step you can take in the coming week to start implementing this plan?



5 Enhance your strategy

Knowledge gap: What is one concept, tool, or “advanced strategy” (e.g., systems mapping, multicapital strategies) you could learn more about to unlock the next level of success for this goal?



6 Plan for evolution

Review: Goals evolve as you learn. When will you formally review this goal to see if it needs to be updated or pivoted?

Review Date:

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Center for Sustainable Finance and Private Wealth

If this guide has inspired you to dive deeper into goals-based investing and philanthropy, CSP (Center for Sustainable Finance and Private Wealth) offers programs for wealth holders and family offices developing impact strategies.

For further information, please visit:
www.cspglobal.org/training

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